

FEDERAL MARITIME COMMISSION

DOCKET NO. 22-17

**BAKERLY, LLC
COMPLAINANT,
v.
SEAFRIGO USA INC.
RESPONDENT.**

OPENING BRIEF OF BAKERLY LLC

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I. INTRODUCTION

For months, Complainant Bakerly, LLC (“Bakerly”) sought backup documentation for the mounting demurrage and detention (D&D) charges that Seafrigo USA Inc. haphazardly sent without any detailed information or underlying invoices on which the charges were based for the shipping period (“the Period”) involved with subject case: December 2020 through March 2022. Now, through discovery, it is clear that Seafrigo did not maliciously withhold information from Bakerly. Instead, it has become clearly apparent that Seafrigo lacked the systemic controls to properly track and ship containers and invoice Bakerly for demurrage and detention in compliance with the Ocean Shipping Reform Act of 2022, and its predecessor (“the Shipping Act”). Because of this, Seafrigo has violated various sections of the Shipping Act, including the requirements of providing service not in accordance with its rules published in a tariff; failure to implement just and reasonable practices in the delivery of property through its unreasonable duplicative (multiple) billing of demurrage and detention; and also, in violation of the Interpretive Rule on Demurrage and Detention under the Shipping Act. Seafrigo’s admitted actions lack all due diligence and border on the negligent, particularly for Seafrigo’s Duplicative Invoicing practices for demurrage and detention.

Further, Seafrigo’s actions are governed by their Rules Tariff and bill of lading terms and conditions under the Filed Rate Doctrine. These terms, in particular those included in Seafrigo’s Rules Tariff published by Seafrigo, exempt Bakerly from being charged demurrage on door delivery transactions, unless Bakerly directly caused the demurrage to occur. Lastly, Seafrigo unlawfully passed through demurrage and detention charges to Bakerly during a snowstorm period when it was an impossibility to timely pick up loaded containers at the port, and to return empties at designated locations, a condition which Seafrigo had a duty to contest the charges to the issuing entity.

A. Procedural History

Bakerly filed a Verified Complaint on July 27, 2022, to initiate this proceeding. Seafrigo filed its Answer on August 22, 2022. The parties proceeded through discovery and engaged in CADRS mediation on January 24, 2023. Bakerly moved for a partial summary decision as to the applicable law in establishing the demurrage charges at issue which totaled \$2,357,244.53 for the Period. Your Honor dismissed the Motion for Partial Summary Decision on February 7, 2023.

The following is pertinent:

1. Bakerly in its Complaint claimed that Seafrigo violated 46 U.S.C. § 41104(a)(2)(A) for charging demurrage to Bakerly when the Rules Tariff and bills of lading required door delivery and claiming that Seafrigo violated 46 U.S.C. §§ 41104(a)(14), (15); 41102(c) and 46 C.F.R. § 545 (the “Interpretive Rule on Demurrage and Detention Under the Shipping Act”) because the demurrage charges were inconsistent and unreasonable given the door delivery requirement and the Rules Tariff provisions which specifically exempted Bakerly from demurrage in door delivery circumstances. Thus Bakerly is entitled to \$973,227.05 for demurrage—this amount is the sum of demurrage that Seafrigo unlawfully charged Bakerly and that Bakerly paid to Seafrigo. Further, Bakerly would be entitled to a cease-and-desist order from the Federal Maritime Commission for all demurrage sums being claimed by Seafrigo owed to it by Bakerly for the sum of \$1,384,017.48.
2. Bakerly also claimed that Seafrigo violated 46 U.S.C. § 41104(a)(14)-(15)(A), (B) because Seafrigo charged D&D inconsistently and unreasonably under 46 U.S.C. § 41102(c) through a duplicative invoicing practice. The duplicative invoicing was in the context of Seafrigo issuing more than one invoice for demurrage to Bakerly when the demurrage was still accruing, and for which there were no final demurrage invoices

available from the ocean common carrier and/or its terminal since demurrage was still accruing. It was determined that as a result of these invoicing practices, invoices were not correctly invoiced and lacked sufficient information with which to evaluate their validity. Further the charges violated the Interpretive Rule on D&D (46 C.F.R. § 545) in that the invoices failed to list appropriate information required pursuant to 46 C.F.R. Part 545 to establish just and reasonable practices in order to serve their intended primary purposes as financial incentives to promote freight fluidity. In fact, their dearth of reliable factual information was counterproductive to even come close to serve that purpose. Thus, Bakerly is entitled to \$1,040,254.65 for duplicative invoicing, which total includes a sum of \$145,769.33 for refunds due for paid demurrage and detention, and a total of \$894,485.42 for demurrage and detention that has been invoiced and for which a cease and desist order should be issued for its collection.

3. Finally, Bakerly claimed that Seafrigo violated 46 U.S.C. § 41104(a)(2)(A) for charging demurrage and detention to Bakerly during the Snowstorm Period in violation of 46 U.S.C. §§ 41104(a)(14), (15); 41102(c) and 46 C.F.R § 545 (the “Interpretive Rule on Demurrage and Detention Under the Shipping Act”) because the demurrage and detention charges were inconsistent and unreasonable given the door delivery requirement and the impossibility of meeting the standards of “Cargo availability” and “Empty container return” of the requirements of the Incentive Principles of the Interpretive Rule in conditions where weather as well as closed facilities impeded these activities during the snowstorm period. Bakerly is entitled to \$361,178.54 on Count 3.

B. Summary of the Case

Complainant Bakerly asserts Shipping Act violations against Respondent Seafrigo based upon Seafrigo’s departure from operating under its Rules Tariff and bill of lading terms;

Seafrigo's failure to use reasonable policies and practices related to billing detention and demurrage; and Seafrigo's unreasonable billing of the Snowstorm Period.

The evidence in the record reflects that Seafrigo failed to operate in accordance with its Rules Tariff and bill of lading terms by charging detention and demurrage fees to Bakerly when Bakerly had not caused the fees for these door delivery moves. In particular, because the subject transactions were door delivery moves, Bakerly was not liable for demurrage, unless Bakerly caused the demurrage.

The evidence in the record also reflects that Seafrigo had an unreasonable policy and practice of billing detention and demurrage through its use of an obfuscated duplicative invoicing practice. By this practice, Seafrigo—for example—sent duplicative invoices to Bakerly for partial amounts of the total demurrage at times, without having picked up the container or without providing the underlying demurrage invoice between Seafrigo and the carrier or terminal or even after the demurrage had ended still sending multiple invoices for the single period. This violated 46 C.F.R. § 532.5(d)(2)(iv) that requires invoices to be substantiated.

Finally, the evidence in the record shows that during the Snowstorm Period, Seafrigo charged demurrage to Bakerly even though the ports were closed due to the weather. This violated the Shipping Act as an unreasonable practice that is not in accordance with the Interpretive Rule, and payments which it did not have to make as the named recipient of invoices from the ocean common carrier/terminal. Therefore, due to Seafrigo's lack of diligence to have those demurrage and detention charges cancelled pursuant to the standards of the Federal Maritime Commission's Interpretive Rule on Demurrage and Detention, Seafrigo instead passed through these unlawful charges to Bakerly. Additionally, Seafrigo rarely included a copy of the

underlying terminal and/or ocean carrier invoice which questions, if in fact, these were pass throughs.

II. FACTUAL BACKGROUND¹

Complainant Bakerly is a distributor and food importer of specialty French products. (PFF ¶ 1.) Respondent Seafrigo is a non-vessel operating common carrier (“NVOCC”) licensed by the FMC as that term is defined at 46 U.S.C. § 40102(17). (PFF ¶ 2.) Bakerly’s affiliated companies in France had for a lengthy period utilized the Seafrigo affiliates in France and Europe for distribution of their food products to most of its affiliates. (PFF ¶ 3.) Bakerly LLC, the U.S. company, started importing refrigerated containers with Seafrigo of Bakerly food products from its parent companies in France in September 2015. (PFF ¶ 4.)

In February 2019, Bakerly started buying from its Bakerly parent companies in France pursuant to FOB terms and to have Seafrigo USA handle the transportation from the overseas port to door delivery from the port in the United States. (PFF ¶ 9.) For the shipments at issue, Bakerly and Seafrigo contracted for door delivery of the goods pursuant to the ocean bills of lading issued to Bakerly for ultimate delivery to its various locations in the U.S. and for the return of empty containers to appropriate terminals. (PFF ¶¶ 6, 7, 9.)

A. Governing Terms and Conditions

The Federal Maritime Commission issued its interpretive rule regarding detention and demurrage on April 28, 2020. 46 C.F.R. § 545.5(a); See also Interpretive Rule, 85 Fed. Reg 29638. (PFF ¶ 13.) Complainant Bakerly is a distributor and food importer of refrigerated cargo

¹ All facts set forth herein and in the sections set forth below are based upon Complainants’ Proposed Findings of Fact which are in turn, based upon documents produced by the parties during discovery and this proceeding. These documents are provided in the Appendix, which has numbered pages with a prefix of “CX” pursuant to the September 22, 2022 Scheduling Order.

to the United States from France and other European countries. (PFF ¶¶ 1, 3, 4.)

Rules Tariff and the bill of lading terms and conditions provided the following rules related to the issues at hand:

Rule 6.5

Carrier shall not be liable for any loss or damage arising from:

- (a) an act or omission of Merchant or person other than Carrier acting on behalf of Merchant from whom Carrier took the goods in charge,
- (b) compliance with the instructions of any person authorized to give them,
- (c) handling, loading, stowage or unloading of the goods by or on behalf of Merchant,
- (d) inherent vice of the goods,
- (e) lack of sufficiency of or defective condition of packing in the case of goods, which by their nature, are liable to wastage or damage when not packed or when not properly packed,
- (f) insufficiency or inadequacy of marks or numbers on the goods, coverings or unit loads,
- (g) fire, unless caused by actual fault or privity of Carrier,
- (h) any cause or event which Carrier could not avoid and the consequences of which he could not prevent by the exercise of due diligence. (PFF ¶ 11.)

Rule 9

CARRIER'S CONTAINERS:

9.1 If goods are not received by Carrier already in containers, Carrier may pack them in any type of container.

9.2 Merchant shall be liable to Carrier for damage to Carrier's containers or equipment if such damage occurs while such equipment is in control of Merchant or his agents.

9.3 Merchant indemnifies Carrier for any damage or injury to persons or property caused by Carrier's containers during handling by or when in possession or control of Merchant.

9.4 Merchant undertakes to return such containers to Carrier within the time provided for in Carrier's applicable tariff; otherwise, Merchant shall pay Carrier for the demurrage or detention charges applicable to the containers.: (PFF ¶ 11.)

Rule 15

RULE: 15 Effective: 22Feb2017 (I)(R)

FREE TIME, DETENTION AND DEMURRAGE

15.1 Carrier is a non-vessel operating common carrier and the equipment it uses to provide transportation services to Merchant is provided by the vessel-operating common carrier (VOCC) that operates the vessel transporting the cargo.

15.2 The VOCC imposes detention charges if empty containers released for loading and/or loaded containers released for unloading are not returned within a specified period of time (free time). Merchant shall be liable to Carrier for any detention charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

15.3 The VOCC imposes demurrage charges if loaded containers are not removed from the marine terminal within a specified period of time (free time). Where service is port at destination and removal of containers from the VOCCs marine terminal is responsibility of Merchant, Merchant shall be liable to Carrier for any demurrage charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time. (PFF ¶ 11.)

Rule 17

USE OF EQUIPMENT

17.1 General Provisions

Merchant acknowledges and agrees that Carrier, as an NVOCC, does not own or operate equipment (i.e., chassis or containers). Merchants use of chassis leasing companies that own and/or operate the containers and chassis used to transport Merchants cargo. Merchant, by tendering shipments to Carrier for transportation, appoints Carrier as its agent for acquiring containers and chassis for such transportation and agreeing to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which shall be for the account of the Merchant except to the extent solely attributable to actions or omissions of Carrier.

17.2 Merchants Risk and Expense

Except as otherwise specifically provided in this Tariff Rule, and Carrier's bill of lading terms and conditions, the following shall be at the Merchants risk and all expenses in connection therewith shall be for the Merchants account:

1. The pick up, transport, and delivery of the containers/goods moving between the port of loading or port of discharge on the one hand, and Merchant's facility on the other hand, except to the extent the goods are door cargo; and
2. The care and custody of equipment. (PFF ¶ 11.)

B. D&D Began

In January 2021, Bakerly for the first time received D&D charges from Seafrigo which related to December 2020 – January 2021 activity in the amount of \$361,178.54. (PFF ¶ 14.) Seafrigo rejected the responsibility of the poor performances claiming the NY snowstorm and the port closure made it impossible for them to perform services. (PFF ¶ 16.)

C. Seafrigo Continually Failed to Provide Backup Documentation with Invoices After Repeated Requests

The D&D situation continued to get worse through July and August 2021. (PFF ¶¶ 21-29.) From January 2021 to July 2021, Seafrigo failed to communicate with Bakerly that D&D had accrued at a significant rate. (PFF ¶¶ 21, 22.) Seafrigo told Bakerly in July 2021 that it was difficult to procure drivers to move containers. (PFF ¶ 24.) Bakerly suggested that Seafrigo pay more competitively in order to attract more drivers. (PFF ¶ 24.)

Bakerly needed more information about the D&D and backup documentation to support the charges that were being invoiced by Seafrigo. (PFF ¶¶ 27-29.) Seafrigo agreed to send D&D reports to Bakerly weekly. (PFF ¶¶ 28, 30.) But Seafrigo never sent the reports until October 2021, and then, the reports contained erroneous and incomplete information. (PFF ¶¶ 29, 91.)

In October 2021, Bakerly did an independent review of 165 invoices for a total of \$626,000 in charges that were sent by Seafrigo from July to October 2021. (PFF ¶¶ 30, 32.) Based on the review, Bakerly approved payment of \$224,000 of D&D and rejected \$402,000. (PFF ¶ 30.) And Bakerly told Seafrigo that it would automatically reject invoices for D&D that lacked backup information and for driver shortages because Seafrigo had continually promised to improve and had not improved. (PFF ¶ 30.)

At this point, Bakerly continued to not receive proper backup documentation from Seafrigo with the invoices that Seafrigo sent. (PFF ¶ 31.) Bakerly continued to press Seafrigo

that Bakerly needed a weekly D&D report. (PFF ¶¶ 28-30, 91, 92, 95 (February 2022, January 2022, November 2021, September 2021, June 2021, February 2021).)

D. Duplicative Invoicing

In December 2021, Bakerly did another review of significant D&D charges and made an alarming discovery. (PFF ¶ 32.) In that review it was determined that for over one hundred Purchase Orders, it appeared that more than one invoice had been charged by Seafrigo per Purchase Order. (PFF ¶ 33.) No information was received from Seafrigo with respect to this multiple invoice billings per Purchase Order, and Bakerly put a stop payment on these invoices for those that had not been paid, and now seeks reimbursement for those amounts which it did pay. Seafrigo has never offered any explanations for any reason that the charges were repetitious even when paid. (PFF ¶¶ 33, 34.) Seafrigo rarely provided any support to evidence these underlying payments to the steamship lines and MTOs. (PFF ¶ 35.)

Based on Bakerly's accounting system (expecting one invoice for each billable activity per one purchase order) and Bakerly's experience with Seafrigo since 2015, was that all billable activities by type (freight, detention, demurrage) would be applicable to single containers by Bakerly's Purchase Order number and correlated to Seafrigo Invoice identified alpha numerically which invoice always started with IMP or US (in the new accounting system). (PFF ¶¶ 32, 37, 38.) The practice since 2015 until 2021 had been that demurrage and detention would be invoiced either when the demurrage and detention was paid by Seafrigo or when the demurrage ceased accruing: i.e., the container was picked up and Seafrigo received the final invoice for the activity. (PFF ¶ 39.)

But this December 2021 review of invoices revealed that for over one hundred Purchase Orders, it appeared that more than one invoice had been charged by Seafrigo per Purchase Order for Bakerly for the same activity, principally for demurrage. (PFF ¶ 40.) Thus, Seafrigo sent

multiple invoices for each event, such as detention and demurrage. (PFF ¶ 40.) While Seafrigo has indicated in its Answer that such multiple invoices are “a common practice in the industry whereby supplemental invoices have to be issued when demurrage or detention continues to accrue,” that is not, in fact, the case. (PFF ¶¶ 41, 42, 43.) Bakerly’s experience, even with Seafrigo from 2015 through 2020, has been the single invoice, for the single Purchase Order/Container, per billing activity. (PFF ¶ 39.) Additionally, that has never been the case with the NVOCCs that replaced Seafrigo from then until the present. (PFF ¶ 41.)

Seafrigo invoices (IMP10-21-07836-07, IMP10-21-07836-06, IMP10-21-07836-05, IMP10-21-07836-04, IMP10-21-07836-03, IMP10-21-07836-02) in Exhibit 9 to the Complaint are for Bakerly container no. SEGU9388853, Bakerly Purchase Order no. PO001287. (PFF ¶ 44.) All six invoices are demurrage charges to Bakerly for a total of \$28,761.43. (PFF ¶ 44.)

These invoices include the following information:

- Bakerly’s Purchase Order no. 001287;
- Reference to Bakerly’s Container no. SEGU9388853;
- Arrival Date of 9/28/21; and
- The description of the charges for demurrage and the amount of demurrage charged

But lack the following information:

- The period of time which pertains to the amount of demurrage charged;
- The pickup date of the container;
- The fact of whether the container remains at the terminal and is continuing to accrue demurrage;
- The Last Free Date of the container from which demurrage starts accruing.

(PFF ¶ 45.)

Based on independent research, the Maher public information out-gated date is 10/27/2021 for IMP10-21-07836 for subject container SEGU9388853. (PFF ¶ 46.) The computation of demurrage incurred based on this information---i.e. Arrival date of 9/28/2021

and pick up date of 10/27/2021 is computed as follows based on the applicable Maher Terminals LLC Marine Terminal Schedule no. 010599 demurrage rates:

Free days at Port (reefer)----	2 Work days;
Demurrage days-----	27 days
First 1-3 days @ \$446/day--	\$1,338.00
4-27 (24 days) @ \$640/day--	\$15,360.00
Total demurrage	\$16,698.00

(PFF ¶ 46.)

This is in contrast to the Seafrigo invoiced amount of \$28,761.43. (PFF ¶¶ 44-46.) For this container (SEGU9388853) the demurrage that would have been applicable pursuant to the Hapag-Lloyd USA-Import Demurrage Charges effective from May 1, 2021, would have been \$22,908.00, still significantly lower than the amount that Seafrigo invoiced. (PFF ¶ 46.)

Additionally confusing was that Seafrigo never indicated in any of its invoices whether they had been invoiced pursuant to the Maher Demurrage tariff or if Maher had invoiced them pursuant to Hapag's demurrage rates which they were collecting on their behalf. (PFF ¶¶ 44, 48.) The service of Maher Terminal of collecting demurrage for the ocean common carrier subject to the VOCCs own tariff is optional and conditioned on various minimal pricing requirements. While the practice is generally that the terminals collect demurrage for the ocean common carriers, in fact, it is an optional activity as stated in the applicable Maher Terminals LLC Marine Terminal Schedule no. 010599. (PFF ¶ 48.) Therefore, Bakerly would have no knowledge of this unless Seafrigo in its invoices to Bakerly would provide that information, which it never did.

Based on information Seafrigo provided after discovery was closed (SU1001631 and SU1001632), Bakerly was able to identify another set of duplicative invoicing for PO000691, Container SEGU9420024, and Seafrigo reference no. IMP10-21-07638 by review of Exhibit 8 of the Complaint:

IMP10-21-07638-04 Invoice dated 10/12/2021----\$3,614.69
IMP10-21-07638-03 Invoice dated 10/12/2021----\$8,459.59
IMP10-21-07638-04 Invoice dated 10/08/2021----\$1,422.58
Total demurrage charged by Seafrigo: \$13,496.86

(PFF ¶ 47.) Container SEGU9420024 arrived on September 17, 2021, and the last free date is two work days from that date: i.e., demurrage started running September 21, 2021. (PFF ¶ 48.)

The Maher public information out-gated pickup date is 10/5/2021 for IMP10-21-07638 for subject container SEGU9420024, and the corresponding Maher Terminal and Hapag demurrage rates are as follows:

- a. The Maher Terminal demurrage rate as noted above at that time for reefer cargo was as follows for 14 demurrage days:
1-3 (3 days) @ \$446 for \$1,338.00, and 4-14 (11 days) @ \$640 for \$7,040.00 for a total of \$8,378. Again, the demurrage charged by Seafrigo was \$13,496.86.
- b. The Hapag demurrage rates at that time were as follows:
1-3 (3 days) @ \$684 for \$2,052.00, and 4-14 (11 days) @ \$869 for \$9,559.00 for a total of \$11,611.00. Again, the demurrage charged by Seafrigo was \$13,496.86. (PFF ¶ 48.)

Again, there is no indication on the Seafrigo invoices as to whether these involved collection of Maher demurrage or Hapag demurrage collected by Maher. (PFF ¶ 48.) However, in any case, both of these demurrage calculations were significantly different than what Seafrigo had charged pursuant to its duplicative invoicing practices. (PFF ¶¶ 47, 48.)

E. Freight Charges

The parties have resolved most of the outstanding freight charges. (PFF ¶ 50.) Bakerly had stopped paying the freight because of the unexplained egregiously high charges being assessed by Seafrigo on demurrage and detention. Seafrigo claimed that Bakerly owed \$865,336.89 in outstanding freight. (PFF ¶ 50.) Through negotiations involving document backup from Seafrigo, the outstanding amount is now \$38,184.50. (PFF ¶ 50.) Bakerly made two payments of \$672,823.55 and \$11,506.51 for a total of \$684,330.06. (PFF ¶ 50.) Of the full

\$865,336.89, Seafrigo agreed that \$142,122.33 were not valid charges: either misidentified as alleged D&D (for \$102,810.46) or completely abandoned by Seafrigo (\$39,311.87). The parties are still negotiating the final disputed \$38,184.50. (PFF ¶ 50.)

Notwithstanding that the Complaint did not involve freight charges as a separate topic, there are incidents of Seafrigo's confusion and lack of due diligence of sometimes failing to designate demurrage and freight correctly with consequences that aggravated the reasonableness of its invoicing process. (PFF ¶ 50.) For example, as mentioned above, Seafrigo mistakenly claimed a payment of \$102,810.46 in freight when the \$102,810.46 in charges were already claimed in the D&D claim, as admitted by Seafrigo during the negotiations of the outstanding freight. (PFF ¶ 50.)

F. Seafrigo's Failures

Seafrigo took on the risk, control, and management of the loaded containers when they arrived in Port in the United States because they were door delivery shipments. (PFF ¶¶ 6, 7, 9, 56.) Thus, Seafrigo had the responsibility of conducting the communications for delivering the containers. (PFF ¶ 56.) Seafrigo repeatedly failed to diligently and timely communicate about the containers arrived or arriving at the Port. Seafrigo failed to properly communicate about the status of the containers to Bakerly by providing incorrect and confusing information. (PFF ¶¶ 52, 56-60.) This occurred throughout the period (June 2021, September 2021, October 2021). (PFF ¶¶ 52-60.) Seafrigo billed Bakerly for a container that never left France, as shown by a file exchanged between the parties, which shows charges for a container that never shipped from France. (PFF ¶ 57.) Additionally, Seafrigo failed to send some invoices to Bakerly. (PFF ¶ 57.)

Because of Seafrigo's repeated failures, Bakerly signed with a CEVA logistics company to provide the ocean, trucking and U.S. Customs clearance services with CEVA companies to give them a portion of Seafrigo's containers at this time. (PFF ¶ 61.) Note a telling comparison

for a period in October 2021 when both Seafrigo and CEVA removed containers during the same time period from the same terminal, Maher Terminal, where there were, on one hand, **zero** charges for the CEVA activity and, on the other hand, **\$60,292.24** in demurrage and per diem charges accrued by Seafrigo due to its continuing lack of due diligence in its door delivery efforts. (PFF ¶ 62.) CEVA's far superior performance at the same time and place as Seafrigo reinforced to Bakerly that Seafrigo had not been operating during the Period with due diligence in the timely collection of loaded containers and the return of empty containers. (PFF ¶ 63.)

Seafrigo, in the discovery process, produced a spreadsheet with analysis provided for 1037 lines of charges. (PFF ¶ 66.) This document was produced three times and Seafrigo failed to identify the changes in the spreadsheet. (PFF ¶ 67 (SUI002226 (produced on 4/4/2023, referred to herein as "Round 1"); SUI001435 (produced on 4/4/2023); SUI003470 (produced on 4/14/23, referred to herein as "Round 2").) Round 2 involved a review of invoices \$2,500 or less, which had not been covered in Round 1. But Round 2 also appears to have involved a re-review of invoices greater than \$2,500 that Seafrigo had already reviewed in Round 1. (PFF ¶ 68.) These are merely Bakerly's conjectures, as Seafrigo did not provide any narrative explanation for the differences in the three spreadsheets. (PFF ¶¶ 66-70.)

Seafrigo also failed to cite or reference any produced documents for the change in analysis that led to it being responsible for \$8,943.50 fewer charges. (PFF ¶ 68.) This is provided herein to underscore the lack of consistency, accuracy, and reasonableness in handling its door delivery duties on a continuing basis to Bakerly. (PFF ¶¶ 66-70.)

These spreadsheets are nonsensical, as Seafrigo changed them through different productions. (PFF ¶¶ 68-70.) In Round 1, Seafrigo identified that it was at fault for \$168,792.58 worth of charges, but in Round 2, Seafrigo identified that it was only at fault for \$159,849.08.

(PFF ¶ 69.) Thus, after Seafrigo reviewed additional invoices, it found that it was at fault for fewer charges. (PFF ¶ 69.) And Seafrigo provides no information to explain this change. (PFF ¶ 69.) Seafrigo also added \$1,487.17 worth of transactions that were not present in the original claim. (PFF ¶ 70.) Again, no information is provided for how the total of Bakerly's claim increased by \$1,487.17. (PFF ¶ 70.)

The spreadsheet contains the following columns:

- a. Year
- b. Month
- c. Quarter
- d. Internal #
- e. Seafrigo #
- f. Charge Description
- g. PO #
- h. Invoice Amount
- i. Invoice Type
- j. Invoice Status
- k. Paid Amount
- l. Paid Date
- m. Claimed Amount Letter
- n. Approved Amount Discovery
- o. Claimed Amount Discovery
- p. Snowstorm Amount
- q. Duplicated POs Amount
- r. PH2 - Invoice Amount
- s. PH 2 - SeaFrigo Invoice sent
- t. PH 2 - Payment Receipt
- u. PH 2 - Invoice / MTO Proof
- v. PH 2 - Email with backup sent
- w. PH 2 - What Back up sent
- x. PH 2 - Method Sent
- y. PH 2 - Operator Assigned
- z. PH 2 - Notes
- aa. PH 3 - Cause of charge
- bb. PH 3 - BackUp Available
- cc. PH 3 - Bakerly Notified
- dd. PH 3 - Payment Receipt
- ee. PH 3 - Notes
- ff. PH 3 - Name
- gg. PH 3 - Seafrigo Job#
- hh. PH 3 - Destination Whse

(PFF ¶ 71.)

Columns ‘a’ to ‘q’ (as listed in above) were originally provided by Bakerly to Seafrigo through discovery. (PFF ¶ 72.) Specifically, the spreadsheet assigned a “Cause of charge” in column AA, and two columns of Notes in column Z (“PH 2 - Notes”) and Column AE (“PH 3 - Notes”). (PFF ¶ 73.)

A PivotTable helps to analyze a table of data in Microsoft Excel. PivotTables identify, based on data points in one column, what data exist in another column. (PFF ¶ 74.) Based on the spreadsheets produced by Seafrigo, Bakerly used PivotTables to identify, based on each “Cause of charge,” what notes Seafrigo had included in “PH 2 - Notes” and “PH 3 – Notes.” (PFF ¶¶ 73, 75, 76.) The PivotTables are included in [excel]. (PFF ¶ 74.) With each PivotTable included in a new tab. (PFF ¶ 74.)

Seafrigo listed the following items under “Cause of charge”:

- a. Bakerly Warehouse
- b. N/A
- c. Snowstorm
- d. Later Return of empty container
- e. Lack of Trucker/Drive Capacity
- f. SeaFrigo Fault
- g. US Customs hold
- h. CLIENT WAS ADVISED BY BLAST EMAIL THAT DUE TO MARKET CONDITIONS AT THE TIME THAT DEMURRAGR [sic] OR PER DIEM MAY APPLY (referred herein as “BLAST EMAIL MARKET CONDITIONS”)
- i. STEAMSHIP LINE
- j. PORT CONGESTION
- k. GENSET STORAGE
- l. SEE NOTES

(PFF ¶ 77.)

	Round 2	Round 1	Round 2 vs Round 1
Cause of charge	Seafrigo Amount Invoiced	Seafrigo Amount Invoiced	Seafrigo Amount Invoiced
Bakerly Warehouse	\$ 1,532,512.48	\$ 1,332,235.49	+\$200,276.99
N/A	\$ 470,552.59	\$ 733,566.31	-\$263,013.72
Snowstorm	\$ 361,178.54	\$ 361,178.54	+\$0.00
Late Return of empty container	\$ 191,267.69	\$ 151,028.15	+\$40,239.54
Lack of Trucker/Driver Capacity	\$ 177,574.50	\$ 176,832.50	+\$742.00
SeaFrigo Fault	\$ 159,849.08	\$ 168,792.58	-\$8,943.50
US Customs hold	\$ 68,745.59	\$ 49,841.72	+\$18,903.87
BLAST EMAIL MARKET CONDITIONS	\$ 4,758.97	\$ -	+\$4,758.97
STEAMSHIP LINE	\$ 3,712.50	\$ -	+\$3,712.50
PORT CONGESTION	\$ 2,120.12	\$ -	+\$2,120.12
GENSET SHORTAGE	\$ 1,901.40	\$ -	+\$1,901.40
SEE NOTES	\$ 789.00	\$ -	+\$789.00
Grand Total	\$ 2,974,962.46	\$ 2,973,475.29	+\$1,487.17

(PFF ¶ 78.)

There are numerous nonsensical conclusions drawn by Seafrigo in the spreadsheet based on a comparison of the “Cause of charge” and the other columns. (PFF ¶ 79.) Bakerly has identified these conclusions based on the facts provided by Seafrigo and the use of PivotTables to identify Seafrigo’s facts. (PFF ¶ 79.)

For example, Bakerly identified in discovery that it caused \$198,551.87 of D&D as a result of Bakerly warehouse and staff issues that it had verified. This amount should have been reflected at 100% in the “Bakerly Warehouse” Cause of Charge identified by Seafrigo, but it is not the case. (PFF ¶ 80.) Analysis below shows that this amount is split across all categories including \$16,040.37 in the “Seafrigo Fault” and \$109,695.42 in the unidentified cause of charge. Even after Discovery and agreement by Bakerly on its own responsibility, Seafrigo remains unable to hold a clear and reasonable account:

PH 3 - Cause of charge	Seafrigo Amount Invoiced	bakerly Amount Approved in Discovery
Bakerly Warehouse	\$ 1,532,512.48	\$ 25,793.67
BLAST EMAIL MARKET CONDITIONS	\$ 4,758.97	\$ 1,487.17
GENSET SHORTAGE	\$ 1,901.40	\$ -
Lack of Trucker/Driver Capacity	\$ 177,574.50	\$ 2,629.33
Late Return of empty container	\$ 191,267.69	\$ 42,905.90
N/A	\$ 180.00	\$ -
PORT CONGESTION	\$ 2,120.12	\$ -
SeaFrigo Fault	\$ 159,849.08	\$ 16,040.37
SEE NOTES	\$ 789.00	\$ -
Snowstorm	\$ 361,178.54	\$ -
STEAMSHIP LINE	\$ 3,712.50	\$ -
US Customs hold	\$ 68,745.59	\$ -
#N/A	\$ 470,372.59	\$ 109,695.42
Grand Total	\$ 2,974,962.46	\$ 198,551.87

(PFF ¶ 80.)

Another example, for charges that Seafrigo assigned to “Bakerly Warehouse” as the cause for some transactions (See Bakerly’s tab in Seafrigo’s excel file, “Pivot – Bakerly Warehouse”):

- a. Total is for 499 transactions (vs 243 transactions in round 1) amounting to \$1,532,512.48 (vs \$1,332,235.49 in round 1);
- b. 101 transactions (vs 18 in round 1) amounting to \$133,420.59 (vs \$72,417.62 in round 1) are left without notes as to why Seafrigo identified those charges as caused by Bakerly Warehouse;
- c. In 193 transactions (vs 138 in round 1) amounting to \$880,597.20 (vs \$805,942.72 in round 1) (57% of all charges identified as caused by “Bakerly Warehouse”), Seafrigo provided the impertinent note that the “Cause of Charge” was “CLIENT WAS ADVISED VIA EMAIL BLAST THAT DUE TO MARKET CONDITIONS AT THE TIME THAT PER DIEM OR DEMURRAGE MAY APPLY.”
- d. Thus, the balance of transactions was 205 (vs 87 in round 1) amounting to \$518,494.69 (vs \$453,875.15 in round 1), in which fault could potentially be assigned to Bakerly Warehouse.

(PFF ¶ 80.)

Seafrigo assigned “Seafrigo Fault” as the cause for some transactions (See Bakerly’s tab in Seafrigo’s excel file, “Pivot – SeaFrigo Fault”). (PFF ¶ 82.) Seafrigo provided the following notes on these charges:

- a. Caused due to time gap between Kizzy leaving and Imports taking over account. Trucker reached out to Kizzy for delivery appointment but Kizzy never responded causing a delay in action
- b. Dispatched 1+ week after ETA
- c. DISPATCHED 2 WEEKS AFTER ETA
- d. Dispatched 2+ weeks after ETA
- e. Dispatched 20 days after ETA
- f. Dispatched 20 days after ETA.
- g. Dispatched 3 weeks after ETA
- h. Dispatched 3+ weeks after ETA
- i. Dispatched on time, however Operator failed to schedule delivery appt timely.
- j. Dispatched several days after ETA
- k. Dispatched several days after ETA.
- l. Dispatched two weeks after ETA
- m. It looks like this was only dispatched a week after ETA causing demurrage at the port
- n. Kizzy did not follow up timely for delivery appointment with Warehouse
- o. SEAFRIGO WRONGLY BILLED
- p. This container was dispatched after the ETA
- q. This container was dispatched after the ETA.
- r. This container was dispatched after the ETA. No other emails found.
- s. This is a credit

- t. Trucker/Seafrigo reached out for delivery appointment 1+ week after delivery date.
- u. Ultimately caused due to dispatching container 2 weeks after ETA
- v. Ultimately caused due to SF reaching out for delivery appt very late after ETA date. Pre pulled until delivery date
- w. “Whse didn’t notify the trucker of empty until 2/17”

(PFF ¶ 82.)

Seafrigo assigned “Unidentified” as the cause for some transactions (See Bakerly’s tab in Seafrigo’s excel file, “Pivot – Unidentified”):

- a. 240 transactions (vs 577 in round 1) amounting to \$471,341.59 (vs \$733,566.31 in round 1) are left as unidentified by Seafrigo in the cause of charge
- b. Seafrigo provided information in the spreadsheet that indicates a lack of due diligence related to the tracking of containers and billing process.
 - i. Seafrigo identified that for \$94,660.25 worth of invoices, the invoice was not sent. See Column “PH 2 - SeaFrigo Invoice sent”. This is Seafrigo’s fault.
 - ii. Seafrigo identified that for \$760,169.17 worth of invoices, Bakerly was not notified. See Column “Bakerly Notified”. This is Seafrigo’s fault.
 - iii. When Seafrigo identified that back was sent, the backup that is identified is insufficient. See Column “PH 2 - What Back up sent”. Seafrigo does not identify *what* backup was sent.
- c. Under Column “PH 2 – Notes,” Seafrigo produced the following notes that indicate certain practices for the “Unidentified” transactions:
 - i. No email back to customer was found.: \$179,289.45
 - ii. demurrage for this file was paid 3 diff. times for 3 diff. amounts: \$7,927.00
 - iii. In looking at the file I have reason to believe that we did infact [sic] double bill the client on the demurrage and incorrectly double posted the same cost to the file. It is not a loss, it just needs to be credited from the file. MCN 2/2/23 SSFN21005156 explained to Al there is a dup charge of \$3650 on the file but no proof of paying twice: \$3,659.50

- iv. Invoice was never sent to anyone; sent to m.klampfl@seafrigo-usa.com on Feb 3rd, 2023: \$24,888.00
- v. No proof on website that this was actually paid: \$1,389.00
- vi. Several containers that may not pertain to Bakerly are not in Paycargo rcpt. Container # MSCU7420906 for INV #IMP10-21-05577-03 is included in this mass payment rcpt: \$7,565.00
- vii. Several containers that may not pertain to Bakerly are not in Paycargo rcpt. Container # MSCU7420906 for INV #IMP10-21-05674-03 is included in this mass payment rcpt: \$7,888.00
- viii. The Additional \$4300 may not be valid. there is no receipt available to prove it was actually paid out. May be a dup.: \$17,820.00
- ix. This is not a Bakerly file. Customer: Overseas: \$3,037.55
- x. Seafrigo identifies that backup was not sent for many invoices:
 - 1. Seafrigo identified that for \$865,179.15 worth of invoices, the backup was not sent. See Column "PH 2 - Email with backup sent".
 - 2. \$579,391.53 worth of invoices identified as "NO". See Column "BackUp Available"
- ii. Additionally, Seafrigo identifies the following nonsensical items in Column "PH 3 – Notes"
 - 1. Billed on dummy file. Unable to find proof of any per diem payment in CW or IES.: \$1,245.00
 - 2. BRIDOR SHIPMENT: \$44.00
 - 3. Cannot locate anything on this.: \$4,849.00
 - 4. I do not find an email where Kizzy directly tells Bakerly about demurrage but they were aware of the issues all the way through.: \$7,888.00
 - 5. IN ADDITION TO CUSTOMS HOLD THE SSL TOOK A LONG TIME TO SEND US DEMURRAGE INVOICES AND TOOK LONGER TO UPDATE THE TERMINAL WITH THE RELEASE. BY THE TIME THE TERMINAL WAS UPDATED IT WAS TOO LATE FOR THE CARRIER TO PICK UP THE CONTAINER.: \$36,171.07

6. OVERSEAS: \$3,037.55

(PFF ¶ 83.)

Seafrigo failed to provide a link between a corresponding/supporting document that would support/justify the claims/notes/comments made by Seafrigo in the excel spreadsheets for the 3,000 documents produced. (PFF ¶ 84.) If the supporting documentation is included in the thousands of emails/documents provided by Seafrigo, it is impossible to expect that Bakerly should do the work of searching through all the documents to possibly link them to the transactions in the excel file. (PFF ¶ 84.)

G. Bakerly at Fault

Upon review of Bakerly's files, Bakerly has determined that \$198,551.87 of demurrage and detention can be attributed to failures of Bakerly's warehouses or staff (based on last minute changes to delivery location) for a collection of invoices from July 20, 2021 to October 8, 2021. (PFF ¶ 86.) Bakerly has noted which invoices were the result of the acts or omissions of the following warehouses: "Lineage Allentown PA" and "Honor Foods Philadelphia PA." (PFF ¶ 86.)

H. Bakerly's Repeated Refusal to Pay

Bakerly repeatedly refused to pay based on Seafrigo's lack of backup documentation. (PFF ¶ 94 (September 2021); ¶¶ 95, 97 (October 2021); ¶¶ 88, 93 (October 2021); ¶ 96 (November 2021); ¶ 98 (December 2021); ¶ 99 (February 2022); (February 2022).)

III. ARGUMENT

A. Seafrigo violated the Filed Rate Doctrine by charging Bakerly demurrage in contradiction to Seafrigo's Rules Tariff.

The shipments subject to this claim were undoubtedly on a door delivery basis. (PFF ¶¶ 6-9.); And no other term of the agreement (either Rules Tariff or bill of lading terms) between

Seafrigo and Bakerly shifts the assignment of risk to Bakerly under door delivery. (PFF ¶ 11.) Thus, Bakerly is not liable for demurrage charges that Bakerly did not cause. (PFF ¶ 11.) The risk is allocated in this manner under the rules, and therefore, charging Bakerly for D&D that Bakerly did not cause violates 46 U.S.C. § 41104(a)(2)(A). Thus, Seafrigo violated the Shipping Act when it charged Bakerly D&D that Bakerly did not cause. (PFF ¶¶ 11-13.)

1. Seafrigo is bound by the Rules Tariff provisions under federal statute.

Under 46 U.S.C. § 41104(2)(A), “[a] common carrier . . . may not . . . provide service in the liner trade that is . . . not in accordance with the . . . rules, and practices contained in . . . a tariff published.” See *Yang Ming Marine Transp. Corp. v. Okamoto Freighters Ltd.*, 259 F.3d 1086, 1093 (9th Cir. 2001); *Lincoln Transp. Servs., Inc. v. CMA CGM Am., LLC*, 772 F. App’x 593, 594 (9th Cir. 2019) (finding that a carrier whose filed service contract required consignees/shippers to pay all detention charges under certain conditions could not deviate from those terms under 46 U.S.C. § 41104(2)(A) when those certain conditions were present). See also *Laufer Grp. Int’l, Ltd. v. RGL-Roam Enterprises*, No. CIV.A. H-08-1083, 2009 U.S. Dist. LEXIS 78452, at *7-9 2009 WL 2865824, at *2–3 (S.D. Tex. Sept. 1, 2009) (citing 46 U.S.C. § 41104(2)) (finding that the Shipping Act “prohibits carriers from providing service that is not in accordance with [rates filed under 46 U.S.C. § 40101(a)]”). This is the Filed Rate Doctrine. *Maislin Indus., U.S., Inc. v. Primary Steel, Inc.*, 497 U.S. 116, 127-28 (1990). While the Filed Rate Doctrine was based on the terms of the Interstate Commerce Act, it has been held equally applicable to the Shipping Act since the Shipping Act was modeled after the Interstate Commerce Act, and courts have given the two acts “like interpretation, application, and effect.” *United States Navigation Co. v. Cunard S.S. Co.*, 284 U.S. 474, 481 (1932); *Gilbert Imp. Hardwoods, Inc. v. 245 Packages of Guatamba Squares*, 508 F.2d 1116, 1120-21 (5th Cir. 1975).

Thus, based on long-standing case law, Seafrigo cannot deviate from its Rules Tariff under the Filed Rate Doctrine.²

2. Bakerly is not liable for demurrage charges according to the Bill of Lading and Rules Tariff that it did not cause.

Seafrigo's own Rules Tariff and Bill of Lading terms and conditions allocate demurrage risk to Seafrigo when neither Bakerly nor Seafrigo are directly culpable for the demurrage and detention incurred and when transport is provided by Seafrigo on a door delivery basis as an NVOCC. See Rules 15, 17. The parties agree that the shipments subject to this proceeding are all door delivery. (PFF ¶¶ 6-9.).

Rule 15 at Rules Tariff---FREE TIME, DETENTION AND DEMURRAGE

15.1 Carrier is a non-vessel operating common carrier and the equipment it uses to provide transportation services to Merchant is provided by the vessel-operating common carrier (VOCC) that operates the vessel transporting the cargo.

15.2 The VOCC imposes detention charges if empty container released for loading and/or loaded containers released for unloading are not returned within a specified period of time (free time). Merchant shall be liable to Carrier for any detention charges imposed on Carrier by VOCC **as a result of Merchants failure to return containers within applicable free time.**

15.3: The VOCC imposes demurrage charges if loaded containers are not removed from the marine terminal within a specified period of time (free time). **Where service is port at destination** and

² Seafrigo has argued that "course of conduct" eclipses the Filed Rate Doctrine. But this is not reflected in the statutory and regulatory frameworks or in the case law. According to the Filed Rate Doctrine, even if the lower rate benefits the shipper, it cannot be charged to the shipper. *Am. Tel. and Tel. Co. v. Central Office Tel., Inc.*, 524 U.S. 214, 222 (1998) (citing *Kansas City Southern R. Co. v. Carl*, 227 U.S. 639, 653 (1913) ("Ignorance or misquotation of rates is not an excuse for paying or charging either less or more than the rate filed. **This rule is undeniably strict and it obviously may work a hardship in some cases**, but it embodies the policy which has been adopted by Congress.") (emphasis added)). If an NVOCC failed to comply with the rules or practices in its published tariff for 99 years, and the shipper identified the failure on year 100, the shipper could recover for those failures that are not barred, *inter alia*, by the statute of limitations.

removal of containers from the VOCCs marine terminal is responsibility of Merchant, Merchant shall be liable to Carrier for any demurrage charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

(emphasis added.) (PFF ¶ 11.)

The above is the totality of Seafrigo's Rule 15 dealing with free time, detention, and demurrage. (PFF ¶ 11.) As shown, Rule 15 has no corresponding demurrage language for when service by Seafrigo is to an inland point. (PFF ¶ 11.) The Rules do not contain similar provisions for other types of service, such as door delivery. (PFF ¶ 11.) And Seafrigo has admitted that all the subject shipments are door delivery shipments. (PFF ¶¶ 6-9.) It is a proper inference to make that when the Rules drafted by Seafrigo exempt demurrage for Merchant on a door delivery transaction, that since the underlying ocean carrier is invoicing the NVOCC, Seafrigo, in this case, it is intended to mean that for door deliveries Seafrigo would be liable for that demurrage, if Bakerly did not directly cause the resulting demurrage.

Rule 17 USE OF EQUIPMENT

17.1 General Provisions

Merchant acknowledges and agrees that Carrier, as an NVOCC, does not own or operate equipment (i.e., chassis or containers). Merchants use of chassis leasing companies that own and/or operate the containers and chassis used to transport Merchants cargo. Merchant, by tendering shipments to Carrier for transportation, appoints Carrier as its agent for acquiring containers and chassis for such transportation and agreeing to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which shall be for the account of the Merchant **except to the extent solely attributable to actions or omissions of Carrier. (emphasis added).**

17.2 Merchants Risk and Expense

Except as otherwise specifically provided in this Tariff Rule, and Carrier's bill of lading terms and conditions, the following shall be at the Merchants risk and all expenses in connection therewith shall be for the Merchants account:

1. The pick up, transport, and delivery of the containers/goods moving between the port of loading or port of discharge on the one hand, and Merchant's facility on the other hand, **except to the extent the goods are door cargo**; and
2. The care and custody of equipment.

(emphasis added.) (PFF ¶ 11.)

It is important to note that Tariff Rules 15 and 17 must be interpreted together.³ (PFF ¶ 11.)

The principles about Demurrage and Detention are set by Rule 15, with a clear and simple logic: **the party which is operationally in charge bears the legal responsibility for Demurrage or Detention**. As Detention cases generally happen when the container is within the hands of the Merchant (either for loading or unloading it), it is logical that this risk is borne by the Merchant **"as a result of Merchants failure to return containers within applicable free time."** (15.2).

As for Demurrage, a similar situation can happen only **"Where service is port at destination** and removal of containers from the VOCCs marine terminal is responsibility of

³ Two canons of interpretation are appropriate here to interpret the provision together: the Surplusage Canon and the Harmonious-Reading Canon. The Surplusage Canon requires that "If possible, every word and every provision is to be given effect (*verba cum effectu sunt accipienda*). None should be ignored. None should needlessly be given an interpretation that causes it to duplicate another provision or to have no consequence." The Harmonious-Reading Canon provides that "The provisions of a text should be interpreted in a way that renders them compatible, not contradictory." A. Scalia & B. Garner, *Reading Law: The Interpretation of Legal Texts* 174–82 (2012).

Merchant” (15.3).

Generally, otherwise, risks of Demurrage and Detention cannot be borne by the Merchant who does not organize the transportation but contractually entrusted the Carrier with this task.

(PFF ¶ 11.)

The same logic shall prevail for Rule 17 provisions:

- Rule 17.1 states the principle that, if and when the Carrier acts as an agent for Merchant with respect to third party leasing companies (for chassis and containers), Carrier, as he is acting as an agent shall be responsible only for what is attributable to its own actions or omissions. There, it has however to be noted that, despite the ambiguous wording of Clause 17.1, Seafrigo was not only acting as an Agent but itself handling and operating chassis, by having a number of them, hiring a number of drivers (with identified recruitment problems) and directly managing road transportations up to door delivery. (PFF ¶¶ 11, 24, 88.)
- Rule 17.2 then draws the conclusion of this principle as for the Risks borne by the Merchant, with the very notable exception that there is no risk borne by the Merchant for door delivery orders (except, logically, for the sole care and custody of equipment when it is detained by the Merchant).

This is in fact the logical and proper way to interpret Rules 15 and 17 accordingly with one another, so as to give both provisions meaning:

- When Service is port destination, demurrage shall be borne by the Merchant (Rule 15).
- When Service is door delivery, the Merchant cannot bear the any risk, between the port of loading or port of discharge on the one hand, and Merchant’s facility on the

other hand (Rule 17).

In the present claim, Discovery confirmed that all orders were door delivery and that Seafrigo itself handled the road transportations between the Port Terminal and the final Warehouse (without any documented issue that could justify that some D&D be exceptionally left to Bakerly under Rule 17 provisions). (PFF ¶ 9.)

On these door delivery moves, Bakerly is not liable for demurrage. (PFF ¶ 11.) On a door delivery move, Seafrigo, per the terms of its house bill of lading and Rules Tariff, and as the Carrier for these shipments, is contractually and regulatorily responsible and, thus, liable for what occurs, including all risks, from cargo pick up to container delivery. (PFF ¶ 11.)

This risk allocation is outlined for demurrage in the Rules Tariff. Bakerly (as Merchant) is only responsible for demurrage when “service is port at destination” and “removal of containers from the VOCCs [sic] marine terminal is responsibility of Merchant.” Rule 15.3. The subject transactions in this proceeding are not “port at destination,” they are door delivery. (PFF ¶¶ 9, 11.) And Bakerly is not responsible for removing containers on a door delivery move. (PFF ¶¶ 7, 9, 10.) Thus, Bakerly is not liable for demurrage because those two antecedent conditions do not exist in this case. (PFF ¶¶ 9, 11.) Instead, Seafrigo is liable for the risks associated with these moves pursuant to how it has allocated that risk in its own Rules Tariff.

Further, when risk is allocated for use of equipment (that would include containers and thereby D&D), Merchant is exempt from this risk allocation on a door move for demurrage: During “[t]he pick up, transport, and delivery of the containers/goods” “between the port of loading or port of discharge on the one hand, and Merchant’s facility on the other hand” (demurrage), “the Merchants [sic] risk and all expenses in connection therewith shall be for the Merchants [sic] account.” Rule 17.2. But the Merchant (in this case Bakerly) does not bear that

risk on a door delivery move because door moves are exempted: “except to the extent the goods are door cargo.” Rule 17.2.

Based on the Rules Tariff and terms and conditions, Bakerly is entitled (to be refunded for paid sums, and to be excused from paying amounts not previously paid) to \$973,227.05 for demurrage that Seafrigo unlawfully charged Bakerly.

3. Alternatively, even if the Rules Tariff does not exempt Bakerly from demurrage that it did not cause, Seafrigo failed to exercise due diligence and is liable for the charges.

Even if Rules 15 and 17⁴ do not totally exempt Bakerly from possible demurrage, under the “General Liability” rules, Seafrigo is liable based on its failure to exercise due diligence.

Tariff Rule 6.5(h) states:

Carrier shall not be liable for any loss or damage arising from: [. . .] any cause or event which Carrier could not avoid and the consequences of which he could not prevent by the exercise of due diligence.

Rules Tariff 6.5(h), Seafrigo has failed to show that it exercised due diligence for the subject transactions. (PFF ¶¶ 51-85.) Due diligence is “[t]he diligence reasonably expected from, and

⁴ Notwithstanding that Rule 17.1 does not outright allocate liability to Carrier, it does contain the following language which inculcates Carrier (Seafrigo) when the charges are attributable to actions or omissions of Carrier:

17.1 General Provisions

. . . Merchant, by tendering shipments to Carrier for transportation, appoints Carrier as its agent for acquiring containers and chassis for such transportation and agreeing to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which shall be for the account of the Merchant **except to the extent solely attributable to actions or omissions of Carrier. (Emphasis added).**

ordinarily exercised by, a person who seeks to satisfy a legal requirement or to discharge an obligation.” Diligence, Black’s Law Dictionary (10th ed. 2014).

Seafrigo failed to maintain the systems necessary to discharge its obligations to Bakerly. (PFF ¶¶ 66-85.) In fact, Seafrigo has failed to show much of any backup documentation or systematic control of the containers, while Seafrigo completed door delivery. (PFF ¶¶ 66, 88, 91-99.) During their commercial relationship, Bakerly repeatedly requested Seafrigo provide backup documentation and information surrounding the egregiously-high D&D charges, but Seafrigo continually failed to provide this context. (PFF ¶¶ 66, 88-101.) Additionally, Seafrigo produced a Total Transaction Spreadsheet past the discovery deadline that shows Seafrigo did not exercise due diligence. (PFF ¶¶ 66-70.) In the Total Transaction Spreadsheet proves that,⁵ Seafrigo provided what little notes and information it had related to the shipments. (PFF ¶¶ 66-70, 79, 80.) And the dearth of information is alarming. (PFF ¶¶ 66-85.) Although Seafrigo failed to provide proper information to Bakerly during the subject shipments, the information that Seafrigo has on the shipments shows a lack of basic competence. (PFF ¶¶ 66-85.)

a. The Seafrigo Total Transaction Spreadsheet Speaks for Itself on the Lack of Diligence that Seafrigo Exhibited.

The Seafrigo Total Transaction Spreadsheet contains a significant dearth of support through backup documentation⁶ and reflects poor quality recordkeeping. (PFF ¶¶ 66-85.) Because of the dearth of support and poor quality, Seafrigo lacks any credibility about what it

⁵ As discussed further in Section III.III.D, Seafrigo failed to properly comply with the discovery deadlines.

⁶ As discussed further in Section III.D, the Seafrigo Total Transaction Spreadsheet does not cite to a single page of documents that were produced concurrently. And Seafrigo produced 4,426 pages of documents with the Total Transaction Spreadsheet (from SUI001436 to SUI005861).

asserts occurred during shipment and lacks any credibility about its claims of exercising due diligence. (PFF ¶¶ 66-85.)

For many of the charges, Seafrigo arbitrarily assigned Bakerly as the Cause of Charge or did not indicate a Cause of Charge, and yet, the rationales espoused by Seafrigo are irreconcilable with Bakerly—or any non-Seafrigo party—being at fault:

- For \$94,660.25 worth of invoices, Seafrigo admitted that it did not send an invoice.
- For \$865,179.15 worth of invoices, Seafrigo admitted that it did not send an email with backup.
- For \$179,289.45 worth of invoices, Seafrigo admitted that it could not find an email back to customer.
- For \$579,391.53 worth of invoices, Seafrigo admitted that that back up is not available.
- For \$760,169.17 worth of invoices, Seafrigo admitted that Bakerly was not notified.

(PFF ¶ 83.)

As a note, these admissions in the previous bulleted list do not total \$2,478,689.55 in charges, as some of the amounts listed overlap. (PFF ¶ 83.)

For some charges, the Seafrigo notes admit imprecise, unreasonable and careless practices (the value of the invoice is listed on each bullet below and for a total of \$298,810.12):

- Demurrage was paid at three different times for three different amounts on one charge. **\$7,927.00**
- No email back to customer was found.: **\$179,289.45**
- “In looking at the file I have reason to believe that we did infact [sic] double bill the client on the demurrage and incorrectly double posted the same cost to the file. It is not a loss, it just needs to be credited from the file. MCN 2/2/23 SSFN21005156 explained to Al there is a dup charge of \$3650 on the file but no proof of paying twice”: **\$3,659.50**
- “Invoice was never sent to anyone; sent to m.klampfl@seafrigo-usa.com on Feb 3rd, 2023”: **\$24,888.00**
- “No proof on website that this was actually paid”: **\$1,389.00**

- “Several containers that may not pertain to Bakerly are not in Paycargo rcpt. . . .”: **\$15,453.00**
- “The Additional \$4300 may not be valid. there is no receipt available to prove it was actually paid out. May be a dup.”: **\$17,820.00**
- “This is not a Bakerly file”: **\$3,037.55**
- “Billed on dummy file. Unable to find proof of any per diem payment in CW or IES.”: **\$1,245.00**
- “BRIDOR SHIPMENT”: **\$44.00**
- “Cannot locate anything on this”: **\$4,849.00**
- “IN ADDITION TO CUSTOMS HOLD THE SSL TOOK A LONG TIME TO SEND US DEMURRAGE INVOICES AND TOOK LONGER TO UPDATE THE TERMINAL WITH THE RELEASE. BY THE TIME THE TERMINAL WAS UPDATED IT WAS TOO LATE FOR THE CARRIER TO PICK UP THE CONTAINER.”: **\$36,171.07**
- “OVERSEAS”: **\$3,037.55**

(PFF ¶¶ 66-85.)

The poor-quality tracking information captured in the spreadsheet shows the lack of credibility that Seafrigo has, as to the diligence it exhibited while containers were in its custody:

- To begin, Seafrigo assigned \$470,552.59 of charges with the cause as “N/A.” For over 15%⁷ of the charges, Seafrigo apparently has no explanation of the cause.
- Seafrigo admitted that it was at fault for \$8,943.50 fewer charges between one round of review and the next. Even though in the second round of review, Seafrigo reviewed 256 more transactions. Even worse, Seafrigo failed to identify the rationale behind this re-assignment of fault.
- Bakerly admitted to causing \$198,551.87 in charges (add citation to Bakerly PFF for this), and yet, Seafrigo did not agree that those transactions were caused by Bakerly. For \$16,040.37 of the charges that Bakerly took responsibility for, Seafrigo found itself at fault, and for \$109,695.42, Seafrigo assigned “N/A” as the cause. This seems nonsensical, especially for the \$109,695.42 of purportedly “N/A” caused charges. Seafrigo should have at least considered Bakerly’s ownership of the charges as a significant reason. And if Seafrigo disagreed that Bakerly caused the charges,

⁷ \$470,552.59 divided by \$2,974,962.46 = 15.817%

Seafrigo should point to a rationale for that decision, especially when Bakerly had already owned up to these charges.

- For 193 transaction amounting to \$880,597.20 in charges, Seafrigo assigned “Bakerly Warehouse” as the cause of the charge, but in the notes, Seafrigo describes that “CLIENT WAS ADVISED VIA EMAIL BLAST THAT DUE TO MARKET CONDITIONS AT THE TIME THAT PER DIEM OR DEMURRAGE MAY APPLY.” An email blast explaining that “market conditions” *may* lead to per diem or demurrage in no way explains that a Merchant’s warehouse is at fault for demurrage or per diem.
- Finally, for those charges that Seafrigo assigned to “Bakerly Warehouse” that do not suffer from a glaring error, Seafrigo does not provide any documentation explaining the assignment. This amounts to 205 transactions for a total of \$518,494.69.

(PFF ¶¶ 66-85.)

Review of the Seafrigo Total Transaction Spreadsheet shows that Seafrigo failed to maintain a modicum of control over these door deliveries. (PFF ¶¶ 66-85.) If—at the very least—Seafrigo does not have the information as to what occurred during the delivery, Seafrigo cannot claim to have exercised due diligence or credibly claim that Bakerly was at fault. (PFF ¶¶ 66-85.) Thus, to the extent that Seafrigo does not know whose fault the D&D is, Seafrigo cannot charge Bakerly for those fees under the terms of the Rules Tariff and the terms and conditions of the bill of lading. (PFF ¶¶ 11, 66-85.)

b. Compared to Another NVOCC in the Same Time Period and Lanes, Seafrigo Failed to Provide Due Diligence.

In July 2021, Bakerly decided to start working with another NVOCC because of the continued lack of backup documentation from Seafrigo (despite continual requests from Bakerly) and the large D&D charges. (PFF ¶ 61.) In October 2021, this replacement NVOCC (CEVA) delivered containers **to the same port during the same time period as Seafrigo**, which offered a perfect comparison for due diligence, and the results were stark: CEVA’s containers incurred \$0 in D&D and Seafrigo’s containers incurred \$60,292.24 in D&D. (PFF ¶ 62.) Thus, Seafrigo is not credible in claiming it exercised due diligence in this matter. (PFF ¶¶ 61-63.)

Seafrigo lacks credibility to claim to know what occurred on these shipments and Seafrigo was in the best—and in some cases, only—position to know what occurred during the chain of custody of subject shipments and equipment. (PFF ¶¶ 11, 66-85.) Thus, Seafrigo’s assignments of cause to Bakerly’s warehouses should not be considered. (PFF ¶ 11, 66-85.)

Based on the Rules Tariff and the bill of lading, Bakerly is only responsible for the D&D that it caused—and Bakerly is entitled to refunds for charges that it paid that were the fault of Seafrigo or third parties and is not required to pay those charges that Seafrigo has asserted. (PFF ¶ 11.)

B. Seafrigo Established an Unreasonable Practice and Policy of Sending Duplicative Invoices That Gave Bakerly Cause to Distrust Seafrigo Invoicing for Demurrage and Detention.

Seafrigo was required to observe and enforce reasonable practices under Section 41102(c) of Title 46 of the United States Code: “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

Seafrigo had a practice of issuing duplicative⁸ invoices for detention, demurrage, and per diem and the practice was unjust and unreasonable. 46 C.F.R. § 545.4. (PFF ¶ 32-48.) The

⁸ By “duplicative invoicing,” Bakerly means that Seafrigo issued multiple invoices for one activity (such as demurrage, detention, per diem, freight, accessories) without providing the information necessary to explain the invoice: “who is being charged, for what, by whom, and how disputes can be addressed in a timely fashion.” Notice of Proposed Rulemaking: Interpretive Rule on Demurrage and Detention Under the Shipping Act (Notice Interpretive Rule), 84 Fed. Reg. 48850, 48853, 48855 (Fed. Mar. Comm’n Sept. 17, 2019). The duplicative invoices did not reference the grand total of what was owed for the activity nor provide the underlying invoice with the carrier or terminal.

This means that Seafrigo would issue, for example, four demurrage invoices—each with a portion of the total demurrage but without any reference to how many demurrage invoices would be sent and without the underlying invoice referenced or included. Even on the final

Commission has stated that “[t]he test of reasonableness” for practices is that “the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.” *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey*, 2014 FMC LEXIS 36, at *19 (Docket 11-12) (Order Affirming Dismissal of Complaint) (FMC Nov. 20, 2014) (quoting *W. Gulf Mar. Ass’n v. Port of Hous. Autk*, 21 F.M.C. 244, 248, 18 S.R.R. 783, 790 (FMC 1978), *aff’d without opinion sub nom. W. Gulf Mar. Ass’n. v. FMC*, 610 F.2d 1001 (D.C. Cir. 1979), *cert. denied*, 449 U.S. 822 (1980)). This practice totaled \$1,040,254.65 in charges. (PFF ¶ 34.)

Under 46 C.F.R. § 545.4, the following elements prove an “unjust and unreasonable practice” claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

As we will show, each of these elements is met. (PFF ¶¶ 2, 32-49.) As an NVOCC, Seafrigo is an ocean transportation intermediary. (PFF ¶ 2.). The invoicing at issue is related to the delivery of Bakerly’s property. (PFF ¶ 9-11, 32-34.) Thus, elements (a) and (c) are not at issue, and

demurrage invoice, Seafrigo would not state that it was the final invoice or that demurrage was completed. Bakerly was left with no information about the total of demurrage and just had multiple invoices to sort through.

Bakerly will focus on (b), (d), and (e): The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; the practice or regulation is unjust or unreasonable; and the practice or regulation is the proximate cause of the claimed loss. (PFF ¶¶ 2, 32-49.)

Seafrigo admits it had a practice of issuing duplicative invoices on a normal, customary, and continuous basis by stating that Seafrigo had no obligation to provide the underlying invoice and positing that it is a common practice. (PFF ¶¶ 35, 36, 41.) “As Bakerly should be well aware, third parties such as steamship lines and marine terminal operators frequently issue supplemental invoices related to the same shipment reflecting additional charges which have accrued over time. (PFF ¶ 35). NVOs such as Seafrigo pass through such charges to their customers.” (PFF ¶ 35). It is an unreasonable practice because the duplicative invoices are incoherent and violate the basic requirement that pass through of invoices must be substantiated by the NVOCC with the underlying ocean carrier/terminal invoices. (PFF ¶¶ 32-49.)

In the current case, Seafrigo is issuing duplicative invoices principally due to the fact that Seafrigo’s invoices were issued **before demurrage stopped accruing** (i.e., before the loaded container(s) were picked up from the terminal and before the ocean carrier/terminal had issued its final demurrage invoice, or in most cases any invoice at all). *Amendments to Regulations Governing NVOCC Negotiated Rate Arrangements and NVOCC Service Arrangements*, 83 Fed. Reg. 34780 (citing *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, 622-623 (FMC 2016)). Further, because of this practice of duplicative invoicing, Bakerly was provided uncertain and unreasonable invoices from which it could not be determined whether these invoices were properly charged, or which were overcharged for detention, demurrage, and per diem, as some have proven to be the case. (PFF ¶¶ 32-48.) See below discussion at Section

B.2.b.i, wherein it is demonstrated that the duplicative invoices in Exhibit 9 of the Complaint issued by Seafrigo resulted in overcharges of Maher Terminal Schedule charges for at least one container in the amount of \$12,063.43. (PFF ¶¶ 44-49.) In the event that Maher was charging demurrage to Seafrigo based on Hapag USA-Import Demurrage Charges, the amount that would have been overcharged to Bakerly for the same container is \$5,853.43. (PFF ¶¶ 44-49.)

As a further test of this possibility of overcharges by the unreasonable multiple invoicing of demurrage before demurrage stopped accruing, Bakerly reviewed a payment at random for container SEGU9420024 of \$3,614.69 for Seafrigo invoice IMP10-07638 provided in the late discovery (**Bate Stamp Nos. SU1001631 and SU1001632**), and by running that information through Exhibit 8 of the Complaint, it was determined that Seafrigo invoiced Bakerly a total of \$13,496.86 for demurrage for that container, but in fact the Maher Terminal demurrage charge would have been \$8,378.00, a difference of \$5,118.36. (PFF ¶¶ 46, 47.) This same container when checked against the Hapag demurrage rates, also resulted in an overcharge \$1,885.86. (PFF ¶ 46.)

The net effect conclusion from these experiences was that Seafrigo's duplicative invoicing for demurrage when demurrage was still running were unreasonable and unjust practices which were not reliable. (PFF ¶¶ 32- 49.) It was mainly this discovery of duplicative billings for demurrage that caused Bakerly to cease paying for demurrage. (PFF ¶¶ 32- 49, 93- 102.)

The uncertainty of this unreasonable invoicing practice has caused overcharges and an overall distrust of their accuracy. (PFF ¶¶ 86- 101.) When Bakerly identified the duplicative invoicing, Bakerly stopped their payments. (PFF ¶¶ 93-102.) Therefore, duplicative invoices do not fulfill their ultimate goal of the Interpretive Rule of Demurrage and Detention: i.e., these

duplicative invoices issued before demurrage ends do not serve “their intended purposes of financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5 (c)(1). (PFF ¶¶ 93-102.)

In fact, in this type of mindless invoicing, it has the opposite effect of bringing the process to a screeching halt in order to have the NVOCC, here Seafrigo, explain the unreasonable intricacies of their invoicing for demurrage and detention, which demonstrably can lead to overcharges, which to date, they have not been able to do. (PFF ¶¶ 93-102.) In fact, the confused discovery documents and comments provided by Seafrigo underscore that fact, and that these unreasonable invoicing practices did not serve to any extent “their intended purposes of financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c)(1). (PFF ¶¶ 66-87.) In fact, the opposite was achieved by bringing the fluidity process to a standstill. (PFF ¶¶ 88-101.)

1. Duplicative Invoicing Occurred on a Normal, Customary, and Continuous Basis.

“To find a violation of 46 U.S.C. § 41102(c), the Commission consistently requires that the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” *Final Rule, Interpretive Rule, Shipping Act of 1984*, 83 Fed. Reg. 64478 (Fed. Mar. Comm’n Dec. 17, 2018); *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400,⁹ 432 (1935) (“Owing to its wide and variable connotations a practice, which unless restricted ordinarily means an often repeated and customary action.”).

However, this does not require proof of each violation, instead a showing that the policy and practice is unreasonable suffices. *See Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible Violations of 46 U.S.C. § 41102(c)*, 2022 FMC LEXIS 156, at *4; 2022 WL 3093193, at *32 (Apr. 22, 2022). In a case determining whether a practice of return-container appointments

⁹ Available at <https://www.fmc.gov/wp-content/uploads/2019/04/vol01small.pdf>.

was reasonable, the FMC found that the appointments did not need to be wholly unavailable. *Id.* Instead, the policy or practice must be shown to be unreasonable. *Id.* (“BOE has the burden of proof to establish that Hapag-Lloyd’s practices were unreasonable. That does not necessarily mean that BOE has the burden to show that container return appointments were unavailable. Rather, it means that BOE has the burden to show that Hapag-Lloyd’s policies or practices were not reasonable.”) Likewise, here, Bakerly only has the burden, and it has met this burden, to establish that Seafrigo’s duplicative invoicing practice for containers wherein demurrage was still running, as noted in Exhibit 8 totaling \$1,040,254.65, were unreasonable to the extent that they did not warrant being paid, and were, therefore, counterproductive in meeting its designed purpose. (PFF ¶¶ 32-34.)

Here, Seafrigo’s unreasonable practice of issuing duplicative invoices is normal, customary, and continuous. (PFF ¶¶ 32-34.) Seafrigo management itself explained it to be their policy and practice to invoice for the same Purchase Order (per container) multiple times. (PFF ¶ 35.) “As Bakerly should be well aware, third parties such as steamship lines and marine terminal operators frequently issue supplemental invoices related to the same shipment reflecting additional charges which have accrued over time. (PFF ¶ 35.) NVOs such as Seafrigo pass through such charges to their customers.” (PFF ¶ 35.) Further, Seafrigo does not deny the practice in its Answer. (PFF ¶ 41.) In fact, Seafrigo made the empty claim that duplicative invoicing is an industry practice. *Id.* (PFF ¶ 35.) Additionally, Exhibit 8 of the Complaint proves the repeated and continuous manner of Seafrigo’s duplicative invoicing practice which in this instance occurred for over one hundred transactions. (PFF ¶ 33.) The violations here clearly meet this standard. (PFF ¶¶ 32-35.) One only has to review Exhibit 8 of the Complaint to note that

these unreasonable invoicing practices were in place since January of 2021, and continued until March of 2022, and totaled \$1,040,254.65. (PFF ¶¶ 32-34.)

2. Seafrigo's Duplicative Invoicing Was Unreasonable

The duplicative invoicing practice exercised by Seafrigo was unreasonable because the duplicative invoices were unsubstantiated, overcharged Bakerly, and lacked the information necessary to be understood:

- a) The invoices provided by Seafrigo were unsubstantiated invoices since at the time Seafrigo was issuing its multiple invoices to Bakerly, Seafrigo had no ocean carrier or terminal invoices issued to it. (It is a well-established fact in the industry that ocean carriers/terminals do not invoice demurrage until the loaded containers are picked up.); (PFF ¶¶ 41-43.)
- b) The duplicative invoicing practice without substantiation resulted in substantial overcharges, invoice inconsistencies, and unreliable invoicing that justified the non-payment of the invoices in dispute and requires refunds of those that were paid; and (PFF ¶¶ 62, 79-81, 84.)
- c) Pertinent information such as whether the ocean carrier and/or terminal had already invoiced the charges against Seafrigo, or even whether the container had or had not yet been picked up by Seafrigo for door delivery was not provided to Bakerly. (PFF ¶¶ 29, 45, 52.)

“In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c)(1). The Commission's regulations at 46 C.F.R. § 545.5(d) further state that “[t]he Commission may consider in the reasonableness analysis the existence, accessibility, content,

and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing.”

Seafrigo’s duplicative demurrage, detention, and per diem invoicing, indicate that the practices and policies of Seafrigo were unreasonable and resulted in violations of 46 U.S.C. § 41102(c), the “Interpretive Rule on Demurrage and Detention under the Shipping Act,” and 46 C.F.R. § 545(d). Seafrigo issued multiple invoices to Bakerly that Seafrigo alleges are “pass-throughs” without mark-up (PFF ¶ 42), but Seafrigo did not provide the underlying invoice from the terminal or ocean carrier with the invoice to Bakerly. Clearly, Seafrigo could not substantiate the charges from underlying demurrage charges since it had none for these duplicative invoices. (PFF ¶¶ 88, 36.) And Seafrigo did not bill Bakerly what Seafrigo was charged by the terminal or carrier from what Bakerly can deduce from Exhibit 9 and Seafrigo’s late discovery dump that violated Rule 33(d). (PFF ¶¶ 48-48.)

For example, in the demurrage context, Seafrigo sent more than one demurrage invoice to Bakerly while the container was still at the terminal. (PFF ¶ 64.) And Seafrigo failed to include the demurrage invoice from the terminal or carrier with the invoice to Bakerly. (PFF ¶¶ 88-92.) The same was true for the detention and per diem invoices that Seafrigo sent to Bakerly which are contained in Exhibit 8 of the Complaint. (PFF ¶¶ 47, 48.) Seafrigo clearly provided partial estimated invoices for D&D before the detention or demurrage period had ended by the container being picked up or returned. (PFF ¶¶ 44-48.) Worse still, Seafrigo maintained no process to keep from overbilling, or for that matter underbilling. (PFF ¶¶ 44-48.) The main element of these invoices was that they could not be substantiated by Seafrigo, and Bakerly, likewise, could not ascertain their validity until long after the invoices were received from Seafrigo. (PFF ¶¶ 88-92.)

This duplicative invoicing practice was unreasonable because the regulations require invoices to be substantiated. (PFF ¶¶ 2, 13.) And Seafrigo failed to substantiate the duplicative invoices with the underlying invoice between the ocean terminal or carrier, as required under Amendments to Regulations Governing NVOCC Negotiated Rate Arrangements and NVOCC Service Arrangements, 83 Fed. Reg. 34780 (citing *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, 622-623 (FMC 2016)). (PFF ¶¶ 2, 13.)

In addition to failing to provide the underlying invoice, Seafrigo's invoices to Bakerly also failed to note any required information about the charge, such as the number of free days, the date the demurrage started, and when it ended. (PFF ¶¶ 29, 31, 45.) This left Bakerly reviewing three separate demurrage invoices for one container without any information about whether the demurrage had ended or how long the container was in demurrage. (PFF ¶ 47.) It was not even known whether this was demurrage to be invoiced by Maher for its own account or on behalf of the underlying ocean common carrier. (PFF ¶¶ 45-47.)

Seafrigo's practice of duplicative invoices is outlined in Exhibit 8. (PFF ¶¶ 32-48.) The shipments in the second spreadsheet¹⁰ are listed with the following columns: Year, Month, Seafrigo #, PO#, Invoice Amount, Invoice Type (demurrage, detention) and Invoice Status (Paid, Unpaid). (PFF ¶ 71.)

Seafrigo claims in its Answer, without providing any support in the Answer or in discovery, that such invoices are "a common practice in the industry whereby supplemental invoices have to be issued when demurrage or detention continues to accrue and/or when new

¹⁰ The first spreadsheet in that Exhibit merely lists totals by Purchase Order, but does not note the multiple invoices for individual Purchase Orders. The subsequent spreadsheet in the same Exhibit does contain the multiple invoices that comprise the total invoiced for the individual Purchase Order/Container.

bills are received from third parties which bills are the responsibility of the shipper or consignee.” (PFF ¶ 41.) However, this practice is not an industry standard and is unreasonable and led to a myriad of issues as discussed above and below. (PFF ¶¶ 32-48, 51-60, 66-85.) None of Bakerly’s other NVOCCs utilized duplicative invoicing. (PFF ¶ 41.)

It was not until December 2021, in preparing for a discussion with the Seafrigo management team, that Bakerly management identified that Seafrigo was using this duplicative invoicing practice. (PFF ¶ 32.) As Bakerly identified Seafrigo’s invoicing practices and it became evident that Seafrigo was providing duplicate, unsubstantiated invoices, Bakerly properly ceased payment of demurrage and detention for the invoices noted in Exhibits 8 and 9 of the Complaint. (PFF ¶¶ 32, 93-101.)

a. Duplicative Invoicing is Unreasonable Because the Invoices to Bakerly Were Not “Substantiated With Invoices” From the Terminal or Carrier—and Could not Have Been Substantiated Because They Were Issued Improperly.

In *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, 622-623 (FMC 2016),¹¹ upon which the Commission relied in its rulemaking (Amendments to Regulations Governing NVOCC Negotiated Rate Arrangements and NVOCC Service Arrangements, 83 Fed. Reg. 34780 (July 23, 2018) (to be codified at 46 C.F.R. §§ 531, 532)), the Commission determined that an NVOCC was entitled to collect pass-through assessorial charges without any markup, when it substantiated with the underlying invoices. *See* Amendments to Regulations Governing NVOCC Negotiated Rate Arrangements and NVOCC Service Arrangements, 83 Fed. Reg. at 34787. Generally, it is the industry practice for NVOCCs to invoice demurrage when the NVOCC has picked up the loaded containers, and it has either been

¹¹ Available at [https://www2.fmc.gov/readingroom/docs/1947\(I\)/1947I_Mem_Opn_Ord1.pdf/](https://www2.fmc.gov/readingroom/docs/1947(I)/1947I_Mem_Opn_Ord1.pdf/).

released on credit to the NVOCC or the NVOCC has paid for the demurrage to allow for its release. (PFF ¶¶ 42, 43.)

In this instance, Seafrigo violates 46 C.F.R. § 532 by failing to substantiate the invoices in question—primarily, because Seafrigo typically did not provide the underlying invoice when it invoiced Bakerly. (PFF ¶¶ 35, 36, 88.) But also because Seafrigo’s invoices could not have been substantiated at the times in which they were provided to Bakerly because Seafrigo had not been invoiced for demurrage for the container because it had not been picked up yet. (PFF ¶¶ 35, 36, 88.)

Further, even in instances where the containers had been picked up before Seafrigo provided invoices to Bakerly, Seafrigo failed to provide any substantiation along with those invoices. (PFF ¶¶ 88-92.) This is a clear violation of the regulations which requires the pass-through charges to be substantiated. (PFF ¶ 42.) A review of Exhibit 9 below illustrates Seafrigo’s unreasonable and flawed practice to invoice for demurrage charges before it incurred any expense, had invoices issued to it, or made payment of the demurrage to the ocean carrier/terminal. (PFF ¶¶ 44-48.)

b. Seafrigo’s Practice Led to Overcharges to Bakerly.

What is worse, Seafrigo’s policy and practice has unjustly and unreasonably led to many excessive charges to Bakerly without Bakerly’s knowledge at the time. (PFF ¶¶ 30, 31.) Bakerly could not identify the unreasonable practice until it reviewed the matter much later because of the opacity of the practice. (PFF ¶¶ 30-37.) This became evident to Bakerly when a competitor of Seafrigo was substantially more efficient in the same trade lanes, for cargo in the same vessels

and terminals,¹² at which point Bakerly began looking into the efficacy of Seafrigo’s invoicing and it became clear to Bakerly that an issue existed. (PFF ¶¶ 61-65.)

i. Example: Container SEGU9388853

The duplicative invoicing also led to Seafrigo over-charging Bakerly over \$12,000 for one container (SEGU9388853). (PFF ¶¶ 44-48.)

Six invoices were issued

1. November 5, 2021 (\$3,790),
2. November 3, 2021 (\$5,422),
3. October 24, 2021 (\$3,790),
4. October 19, 2021 (\$7,266),
5. October 14, 2021(\$5,259), and
6. October 8, 2021 (\$3,234.43)

which totaled **\$28,761.43**.

(PFF ¶¶ 44-48.)

- Each invoice was for container no. SEGU9388853, Seafrigo Invoice no. IMP10-21-07836, and Bakerly PO 001287. (PFF ¶ 44.)
- The Maher public information out-gated date is 10/27/2021 below for IMP10-21-07836 for subject container SEGU9388853. *See above no. 2 to correlate Seafrigo nos. and Bakerly container and PO number 0001287.* (PFF ¶ 46.)

⊕ Receiving	Booking#: 310225	Carrier: Seafrigo Transportation 1	Warehouse: Seafrigo Coldstorage Fairmount
Done	Date: 2021-10-27 8 PM	ETA: 2021-10-27 11:13 AM	ETD: 2021-10-30 07:03 AM
	Created At: 2021-10-26 1:16 PM		
	PO# / Ref. Customer: IMP10-21-07836		

- As shown in the chart below, (based on Bakerly’s independent research pursuant to The **Maher Terminals LLC Marine Terminal Schedule no. 010599, Revised Date 23 August 2021**(“Maher Terminal Schedule”) and not based on what was provided by Seafrigo during the course of invoicing—or discovery), the demurrage computed on a

¹² Exhibit 7 of the Complaint clearly shows that during the same period, at the same Maher terminal there were zero charges for both demurrage and detention for CEVA, the other NVOCC finally retained by Bakerly, while for the same period and location Seafrigo had incurred \$60,292.24 in demurrage and detention for its door delivery service which it had invoiced to Bakerly. *See also* Section III.A.3.b on CEVA comparison.

10/27/2021 pickup date was \$16,698, not \$28,761.43, which is the total of the six invoices that Seafrigo issued to Bakerly. (PFF ¶¶ 44-47.)

This shows an overcharge of \$12,063.43—a direct reflection of Seafrigo’s unreasonable invoicing policy and practice.

Arrival at port	9/28/2021
Pick up from terminal	10/27/2021
Returned to terminal	11/1/2021
Port of discharge	New York
Terminal	Maher
Shipping line	HAPAG-LLOYD
Free days at port (reefer)	2 W days
Demurrage	27 days
1-3 (3 days) @ \$446	\$ 1,338.00
4-27 (24 days) @ \$640	\$ 15,360.00
	\$ 16,698.00
Actual 6 invoices received	\$ 28,761.43

(PFF ¶¶ 44-47.)

The Hapag-Lloyd USA-Import Demurrage Charges effective from May 1, 2021 included on a Hapag-Lloyd web-site attached hereto as copied by Bakerly, contained the following charges by Hapag Lloyd which would have been pertinent to this shipment as follows: For the same 27 demurrage days, the rates would have been as follows: First 1-3 days @ \$684/day-- \$2,052.00, and the remaining 24 days @ \$869/day for a total of \$20,856.00 for the 24 days. (PFF ¶¶ 44- 47.) The total demurrage that would have been collected by Maher on behalf of Hapag would have been \$20,856.00 plus \$2,052.00 for a total of \$22,908.00. Again, this contrasts with the amounts charged by Seafrigo by the six invoices it issued to Bakerly in the amount of \$28,761.43. (PFF ¶¶ 44-47.)

This Seafrigo practice and policy created invoices without informing Bakerly of whether the demurrage incurred for which it was invoicing Bakerly was either the Maher Terminal or the Hapag-Lloyd demurrage charges. (PFF ¶ 48.) In any case, Seafrigo’s invoices exceeded either

the Maher Terminal or the Hapag-Lloyd demurrage charges. (PFF ¶ 48.) For this container (SEGU9388853), Seafrigo continued to invoice Bakerly duplicative invoices even after the container was picked up on October 27, 2021. Seafrigo sent two additional demurrage invoices: one dated November 3 and another dated November 5, 2021. (PFF ¶¶ 44-47.) Neither of these invoices notes that the container had been picked up and the demurrage had ended. (PFF ¶¶ 44-47.)

ii. Example: Container SEGU9420024

In addition to Exhibit 8 of the Complaint, Seafrigo's duplicative invoicing practice is again shown erroneous in the late discovery responses provided by Seafrigo. (PFF ¶ 48.) A payment record from Seafrigo to Maher Terminal for Container SEGU9420024, Invoice no. IMP10-21-07638, showed a payment of \$3,614.69 from Seafrigo to Maher Terminal for demurrage. (PFF ¶ 47.) Based on the list of duplicative invoices provided in Exhibit 8 of the Verified Complaint, Bakerly was able to determine that the referenced invoice correlated to Bakerly PO # 000691. (PFF ¶ 47.) In fact, multiple demurrage invoices under invoice no. IMP10-21-07638 were issued to Bakerly for this PO and container. See Seafrigo invoices identified in Exhibit 8 and (PFF ¶ 47.)

- i.) IMP10-21-07638-04 Invoice dated 10/12/2021----\$3,614.69
- ii.) IMP10-21-07638-03 Invoice dated 10/12/2021----\$8,459.59
- iii.) IMP10-21-07638-04 Invoice dated 10/08/2021----\$1,422.58

Total demurrage charged by Seafrigo: \$13,496.86

Seafrigo invoices show an arrival date of September 17, 2021 (PFF ¶ 48.) As the last free day would be two workdays from the arrival date, demurrage fees began on September 21, 2021, and ended on October 5, 2021 (14 days) according to the pickup date shown on Maher public

information for invoice IMP10-21-07638, container SEGU9420024. (PFF ¶ 47.) Based on this information, the rates and demurrage would have been as follows:

Maher Terminal Rates:

2 Work free days at Port---from September 17, 2021
Total demurrage days----14 days
1-3 (3 days) @ \$446-----\$1,338.00
4-14 (11 days) @ \$640---\$7,040.00
Total demurrage-----\$8,378.00

Hapag-Lloyd Demurrage Rates:

2 Work free days at Port---from September 17, 2021
Total demurrage days----14 days
1-3 (3 days) @ \$684-----\$2,052.00
4-14 (11 days) @ \$869---\$9,559.00
Total demurrage-----\$11,611.00

(PFF ¶ 48.)

Based on either demurrage, Seafrigo invoiced Bakerly for an excess of between \$1,885.86 and \$5,118.86. (PFF ¶ 48.) The amount charged by Seafrigo to Bakerly was either incorrect or at best inconsistent with the charges assessed to Seafrigo and was unsubstantiated with invoices from the terminal. (PFF ¶ 48.) In this instance, Bakerly only received the invoices from Seafrigo rather than an invoice from the terminal/shipping line which would have substantiated the demurrage charges. (PFF ¶¶ 47-48.) The way in which the invoices were provided to Bakerly perpetuates the confusion and lack of clarity on how the demurrage is being assessed to Bakerly and even more so disguises which pass-through charge is accurate with no markup pursuant to the statutory guidelines. (PFF ¶¶ 44-48.)

Seafrigo's invoices do not say if the demurrage charges are terminal or carrier, yet on Seafrigo's rate letter demurrage is to be charged "at cost per carrier." (PFF ¶ 12.) In any case, indeed, the following is true:

- The totals do not match: whether terminal or carrier tariff, both sources do not match with Seafrigo's several invoices for the same charge / same container / same vessel / same PO. (PFF ¶¶ 44-48.)
- There is no back up on the invoices received from Seafrigo to understand the charge and the official tariff applied by the carrier at the time. (PFF ¶¶ 27, 31, 83, 88-92.)
- Hapag's website does not show the official tariff for that period either. (PFF ¶¶ 46, 48.)

Also, Maher terminal website was not excluding Hapag from their tariff back in January, so confusing for Bakerly as a client to be searching for the right applicable tariff. (PFF ¶¶ 46, 48.)

If Bakerly had all the supporting documents and explanations with the invoices, Bakerly would not have to do this investigative research. (PFF ¶¶ 44-48.) As a note, there is certainly no information as to why any of these containers stayed at the port so long and incurred so much demurrage, if Seafrigo is not even passing along the proper demurrage rate. (PFF ¶¶ 44-48.)

The policy of duplicative invoicing, without explanation to the Shipper and without substantiating invoices is a practice and policy that led to significant flaws in Seafrigo's invoices and as a result caused confusion, overbilling, and unreasonable delay in resolving any demurrage and detention charges which are now in dispute. (PFF ¶¶ 32-48, 66-85, 88-92.) In essence, it fails as a financial incentive to promote freight fluidity and is an unreasonable practice under 46 U.S.C. §§ 41102, 41104, and 46 C.F.R. § 545. (PFF ¶¶ 32-48, 66-85, 88-92.)

A merchant, such as Bakerly, should not have to complete this level of extensive independent research to identify the basis for the invoices coming from its NVOCC. (PFF ¶¶ 44-48.) And even after this level of review, Bakerly cannot identify the basis of the invoices. (PFF ¶ 84.) This in no way promotes freight fluidity.

**c. Invoice Inconsistencies and Lack of Pertinent Information
Rendered Invoices Unreasonable**

Duplicative invoicing is unreasonable because Bakerly was not "informed of who is being charged, for what, [and] by whom." *Notice of Proposed Rulemaking: Interpretive Rule on*

Demurrage and Detention Under the Shipping Act (Notice Interpretive Rule), 84 Fed. Reg. 48850, 48853, 48855 (Fed. Mar. Comm’n Sept. 17, 2019). The Commission required that demurrage and detention bills should have “enough information to allow cargo interests to meaningfully contest the charges” which goes towards the efficacy (and reasonableness) of one’s policies. (PFF ¶ 13.)

In this regard, the regulations provide certain minimum information that must be included on the invoice for demurrage and detention—it goes without saying that the information on the invoices must also be *accurate*. 46 U.S.C. § 41104(d)(2). Seafrigo’s failure to include accurate and pertinent information on demurrage and detention charges for the subject invoices thus eliminates any obligation of the charged party to pay the applicable charge based on the current provisions of 46 C.F.R. § 545 and is unreasonable pursuant to scrutiny under 46 U.S.C. § 41102 (c) which has now been codified in 46 U.S.C. § 41104(d).

To demonstrate this issue, the excel sheet shown below contains the six invoices related to Bakerly Purchase Order 001287. (PFF ¶ 44.) The listed invoices outline all of the invoices that Bakerly received for one container (SEGU9388853):

Year	Month	Seafrigo #	PO #	Invoice Amount	Invoice Type	Invoice Status
21	12	IMP10-21-07836-07	PO001287	\$ 3,790.00	Demurrage	On Hold
21	12	IMP10-21-07836-06	PO001287	\$ 5,422.00	Demurrage	On Hold
21	12	IMP10-21-07836-05	PO001287	\$ 3,790.00	Demurrage	On Hold
21	12	IMP10-21-07836-04	PO001287	\$ 7,266.00	Demurrage	On Hold
21	12	IMP10-21-07836-03	PO001287	\$ 5,259.00	Demurrage	On Hold
21	11	IMP10-21-07836-02	PO001287	\$ 3,234.43	Demurrage	On Hold
				\$ 28,761.43		

In addition to illustrating Seafrigo’s unreasonable practice of multiple and unsubstantiated invoicing, the details on the six invoices contained in Exhibit 9 demonstrate the

dearth of relevant information Seafrigo provided about the demurrage it charged to Bakerly.
(PFF ¶ 45.)

For example, the invoices lack the following information:

- There is no Last Free Date listed;
- There is no reference that this container has not been picked up and that charges will continue; and
- Most egregiously, there is no reference to the pick-up event on 10/27/2023 for the invoices dated November 3, 2021, and November 5, 2021.

(PFF ¶ 45.)

Further, at the time they were issued, Seafrigo did not contain any information explaining that the container remained at the terminal continuing to incur demurrage. (PFF ¶¶ 45, 46.) Despite the fact that these invoices pre-date the passage of OSRA 2022, the inaccurate and unclear invoicing practice exercised by Seafrigo does not pass the standards of the Interpretive Rule, and, on their face, support a finding that these invoices are in violation of the terms of 46 C.F.R. § 545 and are unreasonable pursuant to scrutiny under 46 U.S.C. § 41102(c), and are not lawful invoices. (PFF ¶¶ 2, 13.)

3. The Duplicative Invoices are the Proximate Cause of the Claimed Loss.

During the Period of dispute, Seafrigo's invoices which meet the description of duplicative invoices, as defined herein and as noted in Exhibits 8 and 9, totaled \$1,040,254.65. (PFF ¶ 34.) For demurrage, it totaled \$1,022,663.10, of which \$884,242.87 remain unpaid by Bakerly, and for which \$138,420.33 have been paid, and for which Bakerly is seeking refunds because the practice is unreasonable. (PFF ¶ 34.) Seafrigo further invoiced duplicative detention charges in the amounts of \$17,591.55 of which \$10,242.55 remain unpaid, and for which Bakerly paid \$7,349.00 and for which it now seeks refunds. (PFF ¶ 34.)

C. Seafrigo should not have paid demurrage when the ports were closed due to a snowstorm.

The Commission has made clear that the Incentive Principle will be applied when evaluating the reasonableness of demurrage and detention charges while a port facility is closed. 46 C.F.R. § 545.5. In *Evergreen*, the Commission evaluated demurrage and detention charges in the context of port closures and found that it was not appropriate to charge demurrage and detention on those days when the port was closed as it violates Section 41102(c) and runs contrary to 46 C.F.R. § 545.5(d). *TCW, Inc. v. Evergreen Shipping Agency (America) Corporation, & Evergreen Line Joint Service Agreement*, 2022 FMC LEXIS 589, at *19; 2022 WL 18068977 (Dec. 29, 2022) (barring per diem charges “when imposition of per diem charges does not serve its incentivizing purposes, such as when empty equipment cannot be returned on weekends, holidays, and port closures”).

Here, Seafrigo asserts that the New York snowstorm resulted in port closure for the period of December 2020 – January 2021, making it impossible for Seafrigo to timely pick up and return certain containers to the terminals. (PFF ¶ 16.). Bakerly however received D&D charges from Seafrigo in the amount of \$361,178.54 for this event during which Seafrigo reports that the port was closed. (PFF ¶ 14.) Despite its hesitation, Bakerly obliged in paying these charges though its continued position is that Seafrigo was not at fault for the weather-related event and therefore should not have paid the D&D assessed in the first place by the ocean common carrier/terminal, and did so at its own risk since it was the proper recipient for these demurrage invoices. (PFF ¶¶ 14-20.) To the extent these invoices are not covered under Counts 1 or 2, Bakerly is entitled to a refund of \$361,178.54. (PFF ¶¶ 14-20.)

1. When containers are impossible to retrieve at the port, D&D is in violation of the Incentive Principle.

As in *Evergreen*, the port was closed which made cargo not available for retrieval. Charging demurrage when the port was closed violated the Incentive Principle per 46 C.F.R. § 545.5(c)(2)(i) in *Evergreen* and does so in this case as well. (PFF ¶ 16.) Further, charging for detention under these conditions of a snowstorm and port closure equally violated 46 C.F.R. § 545.5(c)(2)(ii), since empty containers could not be timely returned while the port was closed. It is clear that both charges do not serve an incentivizing purpose. (PFF ¶¶ 16-20.) No level of charges would have increased the flow of containers, as the containers were impossible to move. (PFF ¶¶ 14-20.) Thus, paying these charges violated 46 C.F.R. § 545.5(c)(2)(i). (PFF ¶¶ 14-20.)

2. Seafrigo failed to exercise due diligence by paying unlawful D&D.

If Seafrigo insisted that payment be made, it could have taken steps to remediate the demurrage assessed against it from the ocean common carriers and respective terminals under the impossibility of performance due. (PFF ¶ 20.) But Seafrigo failed to do so. (PFF ¶ 20.) Bakerly lacks privity to raise the issues with the ocean carriers and terminals. (PFF ¶¶ 1, 2, 6, 10.) The responsibility to address any mitigation options available to it fell squarely upon Seafrigo whom had the contractual relationship with the terminal. (PFF ¶¶ 1, 2, 6, 10.)

3. Demurrage and Detention Charged During Port Closure Was an Assumed Risk of Which Bakerly was Not Responsible for Pursuant to Seafrigo's Own Rules Tariff.

Rule 17 of Seafrigo's Tariff allocates risk and exposure to the merchant (Bakerly) except for on door deliveries. (PFF ¶¶ 7, 9, 11.) Specifically, risk and exposure for the "pickup, transport, or delivery of goods" is the merchant's, "except to the extent goods are door cargo." (PFF ¶ 11.) Since these shipments are door delivery, Bakerly as merchant would not be liable for

the risk and exposure of pickup, transport and delivery. (PFF ¶ 11.) The risks of a weather-related event reasonably applies since an event such as a snowstorm inevitably impacts the pickup, transport, and delivery of goods. (PFF ¶ 11.) Therefore, given that the shipments subject to this proceeding are all door delivery and Seafrigo's Rules Tariff exempts Bakerly from risk exposure for the pick-up and delivery of door delivery goods, the D&D charges assessed during the port's closure was not an assumed risk of Bakerly. (PFF ¶¶ 7, 9, 11.)

The sums of D&D which were caused by weather and port closures, do not comply with the "Interpretive Rule on Demurrage and Detention under the Shipping Act", 46 C.F.R. § 545.5, and thus the subsequent charges by Seafrigo to Bakerly are unreasonable pursuant to 46 U.S.C. § 41102(c). (PFF ¶ 13.) As such and because Seafrigo paid D&D it was not responsible for and did not seek the relief available to it under these circumstances, Bakerly is entitled to a full refund for this demurrage detention paid to Seafrigo in the total amount of \$361,178.54 to the extent that such amounts are not already subject to awards made pursuant to Count 1 and Count 2 of this Complaint. (PFF ¶¶ 14-20.)

D. Seafrigo's Responses to Bakerly's Discovery Request Violated Rule 33.

Federal Rule of Civil Procedure 26(g)(1)(B)(ii), (iii) requires an attorney or party to sign and certify "that to the best of the person's knowledge, information, and belief formed after a reasonable inquiry" every discovery response is "(ii) not interposed for any improper purpose, such as to harass, cause unnecessary delay, or needlessly increase the cost of litigation; and (iii) neither unreasonable nor unduly burdensome or expensive, considering the needs of the case, prior discovery in the case, the amount in controversy, and the importance of the issues at stake in the action." The Court, "on motion or on its own, must impose an appropriate sanction on the signer, the party on whose behalf the signer was acting, or both," when a certification violates Rule 26(g)(1) without substantial justification. Fed. R. Civ. P. 26(g)(3).

Seafrigo's discovery late discovery dump "cause[d] unnecessary delay" and "needlessly increase[d] the cost of litigation" and was unreasonable. The dump contained 1,061 documents on April 4, 2023 and 1,216 documents on April 18, 2023, both of which lacked descriptive information about what was contained in the 2,000-plus pages of PDFs or to which discovery request the documents related. (PFF ¶¶ 45, 52.)

Not only were the production documents provided late, 15 days and 1 day after the discovery deadline, respectively, but the lack of clear information provided a burden for Bakerly to derive which documents were responsive to each request when it could have been easiest ascertained by Seafrigo as the party with primary knowledge of the information. (PFF ¶¶ 45, 52.) See Advisory Committee's Note to Fed. R. Civ. P. 33(c)8 ("A respondent may not impose on an interrogating party a mass of records as to which research is feasible only for one familiar with the records."). Seafrigo thus violated Rules 26 and 33 when it provided such voluminous production without sufficient detail to permit Bakerly to locate and identify the documents. (PFF ¶¶ 45, 52.)

In its Response to Bakerly's Motion for Enlargement of Time, Seafrigo stated

"Bakerly's reference to Seafrigo having produced information on 1,037 invoices and 1,216 documents on April 14th and 18th is misleading. As indicated above, Seafrigo had in fact already produced all of the invoices indicated either on April 4, 2023 or in November of 2022 in response to prior discovery requests."

Seafrigo Resp. to Bakerly Mot. for Enlargement of Time at 2.

But Seafrigo in no way indicated to Bakerly (through discovery or otherwise) which of the documents from the April 14, 2023 production were re-included in the April 18, 2023 production. (PFF ¶¶ 45, 52.) Thus, Bakerly was required to re-review the 1,216 documents in order to determine which documents had already been produced. (PFF ¶¶ 45, 52.) This re-

production by Seafrigo led to even more time and delay for Bakerly, than if Seafrigo had produced an entirely new set of 1,216 documents on April 18, 2023 because Bakerly had to identify if the documents were new and then determine what the documents contained.

Further, Seafrigo stated that Bakerly's motion was misleading. (Seafrigo Resp. to Bakerly Mot. for Enlargement of Time at 2.) But the misleading comments to Your Honor are clearly from Seafrigo. 1,216 documents (covering 2,391 pages) is not "[a] minimal number." While Seafrigo alleges that it did not produce a large number of *new* documents, it re-produced many documents with brand new bates labels and no reference or guide as to which documents were being re-produced, making it impossible to know which documents had already been produced. Such a discovery practice is a means of harassment. To mislead Your Honor about the harassment, is far worse.

Because of this, Seafrigo should be barred from relying on the documents in the data dump, and to the extent that Seafrigo does rely on these documents, Bakerly reserves the right to respond in its Reply Brief.

IV. CONCLUSION

The total sums invoiced to Bakerly by Seafrigo as noted in Exhibit 2 during the Period was \$2,973,475.29. (PFF ¶ 49.) Removing \$198,551.87 from the total it originally claimed (\$95,207.56 in demurrage and \$103,344.31 in detention) for those invoices that Bakerly accepts responsibility, the total is \$2,774,923.42. (PFF ¶ 49.) Of this amount, \$2,262,036.97 is for demurrage, and \$512,886.45 is for detention. (PFF ¶ 49.) On the demurrage portion, Bakerly has already paid \$973,227.05 to Seafrigo, and would seek that this amount be refunded to Bakerly per the allegations in Count 1; for the amount of demurrage which has not been paid which is disputed by Bakerly in the amount of \$1,288,809.92 Bakerly requests that this amount be held as unlawfully charged per the averments in Count 1, and that Seafrigo be directed to cease and

desist collection of this amount. (PFF ¶ 49.) On the detention side, Bakerly has paid \$278,172.37 to Seafrigo, and \$234,714.08 detention charged remains unpaid. (PFF ¶ 49.)

Under Count 1, because Seafrigo violated 46 U.S.C. § 41104(a)(2)(A) for charging demurrage to Bakerly when the Rules Tariff and bills of lading required door delivery and violated 46 U.S.C. §§ 41104(a)(14), (15); 41102(c) and 46 C.F.R § 545 (Interpretive Rule) because the demurrage charges were inconsistent and unreasonable given the door delivery requirement and the Rules Tariff provisions which specifically exempted Bakerly from demurrage in door delivery circumstances, Bakerly is entitled to be refunded for the \$973,227.05 in demurrage that has been paid and Bakerly is entitled to be excused from paying amounts not previously paid \$1,288,809.92. Seafrigo should further be directed to cease and desist collection of \$1,288,809.92.

Under Count 2, Seafrigo violated 46 U.S.C. § 41104(a)(14)-(15)(A), (B) because Seafrigo charged D&D inconsistently and unreasonably under 46 U.S.C. § 41102(c) through a duplicative invoicing practice that also violated the Interpretive Rule on D&D (46 C.F.R. § 545). Thus, Bakerly is entitled to \$1,040,254.65 for duplicative invoicing, to the extent those charges are not covered by recovery under Count 1 or Count 3.¹³ For demurrage (totaling \$1,022,663.10), \$884,242.87 is unpaid by Bakerly and Seafrigo should be directed to cease and desist collection. And \$138,420.23 has been paid. Thus, Bakerly is entitled to the \$138,420.23. Further, for detention (totaling \$17,591.55) \$10,242.55 is unpaid by Bakerly and Seafrigo should be directed to cease and desist collection. And \$7,349.00 has been paid and Bakerly is entitled to a refund.

¹³ Two invoices were during the Snowstorm Period and were issued under Seafrigo's duplicative invoicing practice: IMP10-20-09444-02, IMP10-20-09444-03.

Under Count 3, Seafrigo violated 46 U.S.C. § 41104(a)(2)(A) for charging demurrage and detention to Bakerly during the Snowstorm Period in violation of 46 U.S.C. §§ 41104(a)(14), (15); 41102(c) and 46 C.F.R § 545 where weather as well as closed facilities impeded movement of containers during the snowstorm period. Thus, Bakerly is entitled to \$361,178.54, to the extent those charges are not covered by recovery under Count 1 or Count 2.¹⁴

Dated: May 8, 2023

Respectfully Submitted,



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¹⁴ Two invoices were during the Snowstorm Period and were issued under Seafrigo's duplicative invoicing practice: IMP10-20-09444-02, IMP10-20-09444-03.

CERTIFICATE OF SERVICE

I hereby certify that on this **eighth day of May 2023**, a copy of the foregoing Opening Brief and the attached Proposed Findings of Fact and Appendix has been served upon all counsel of record in accordance with 46 C.F.R. § 502.



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